



The World Bank

Philippines Second Sustainable Recovery DPL (P180336)

Document of
The World Bank

FOR OFFICIAL USE ONLY

Report No: PGD466

INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

PROGRAM DOCUMENT FOR A

PROPOSED LOAN

IN THE AMOUNT OF US\$ 600 MILLION TO

REPUBLIC OF THE PHILIPPINES
FOR THE

PHILIPPINES SECOND SUSTAINABLE RECOVERY DEVELOPMENT POLICY LOAN

May [X], 2024

Macroeconomics, Trade and Investment Global Practice
Finance, Competitiveness and Innovation Global Practice
East Asia And Pacific Region

This document has a restricted distribution and may be used by recipients only in the performance of their official duties. Its contents may not otherwise be disclosed without World Bank authorization.



Republic of the Philippines

GOVERNMENT FISCAL YEAR

January 1 – December 31

CURRENCY EQUIVALENTS

(Exchange Rate Effective as of October 24, 2023)

Currency Unit: Philippine peso

US\$1.00 = PHP 56.8

ABBREVIATIONS AND ACRONYMS

ADB	Asian Development Bank	IMF	International Monetary Fund
AM	Accountability Mechanism	IRR	Implementing Rules and Regulations
ASA	Advisory services and analytics	ITWG	Interagency Technical Working Group
BOP	Balance of Payments	JMC	Joint Memorandum Circular
BSP	Bangko Sentral ng Pilipinas	LCC	Life cycle cost
BTr	Bureau of the Treasury	LDP	Letter of Development Policy
BTMS	Budget and Treasury Management System	LGU	Local government unit
CA	Current account	MAPS	Methodology for Assessing Procurement Systems
CCC	Climate Change Commission	MARINA	Maritime Industry Authority
CCDR	Country Climate and Development Report	MFD	Maximizing Finance for Development
COA	Commission on Audit	MSME	Micro, small, and medium enterprises
CPC	Certificate of Public Convenience	MTEF	Medium-Term Expenditure Framework
CPF	Country partnership framework	MW	Megawatt
CREVI	Comprehensive Roadmap for the Electric Vehicle Industry	NEC	National Ecological Center
CSE	Common use supplies and equipment	NEDA	National Economic and Development Authority
DAO	Department Administrative Order	NGA	National government agencies
DBM	Department of Budget and Management	NPL	Non-performing loan
DENR	Department of Environment and Natural Resources	OE	Obligated enterprises
DOE	Department of Energy	OECD	Organization for Economic Cooperation and Development
DOF	Department of Finance	OSW	Offshore wind
DOLE	Department of Labor and Employment	PA	Prior Action
DPF/DPL	Development policy	PAS	Philippine Accounting Standards
/DPO	financing/loan/operation	PCE	Private Capital Enabled
DRM	Disaster risk management	PCIC	Philippine Crop Insurance Corporation
D-SIBs	Domestic Systemically Important Banks	PDMF	Project Development and Monitoring Facility
DTI	Department of Trade and Industry	PDO	Project Development Objectives
EAP	East Asia and Pacific	PDP	Philippine Development Plan
ECC	Environmental Compliance Certificate	PEFA	Public Expenditure and Financial Accountability
EMB	Environmental Management Bureau	PEISS	Philippine Environmental Impact
EO	Executive Order		

EPR	Extended Producer Responsibility	PEFA	Statement System Public Expenditure and Financial Accountability
EV	Electric vehicle	PFM	Public Financial Management
EVIDA	Electric Vehicle Industry Development Act	PFRS	Philippine Financial Reporting Standards
EVOSS	Energy Virtual One-Stop Shop	PFRAM	PPP Fiscal Risk Assessment Model
FDI	Foreign Direct Investment	PhilGEPS	Philippine Government Electronic Procurement System
FMIS	Fiscal management information system	PHP	Philippine peso
FOREX	Foreign Exchange	PPA	Power purchase agreement
FSF	Financial Sector Forum	PPIA	Philippine Plastics Industry Association, Inc.
GAA	General Appropriations Act	PPP	Public private partnership
GCRF	Global Crisis Response Framework	PRO	Producer Responsibility Organization
GDP	Gross domestic product	PSA	Public Service Act
GHG	Greenhouse gas	RE	Renewable energy
GOP	Government of the Philippines	SCD	Systematic Country Diagnostic
GPP	Green Public Procurement	SEC	Securities and Exchange Commission
GPPB	Government Procurement Policy Board	SUP	Single use plastic
GRID	Green, resilient, inclusive development	TSO	Technical Support Office
GRS	Grievance Redress Service	UNOPS	United Nations Office for Project Services
GW	Gigawatt	US\$	United States dollar
IBRD	International Bank for Reconstruction and Development	US	Unsolicited proposal
IC	Insurance Commission	WB	World Bank
ICC	Investment Coordination Committee	WBG	World Bank Group
ICT	Information & communication technology		

Regional Vice President:	Manuela V. Ferro
Country Director:	Ndiame Diop
Regional Director:	Lalita M. Moorty
Practice Managers:	Lars Christian Moller, Cecile Thioro Niang
Task Team Leaders:	Ralph Van Doorn, Jaime Frias, Gonzalo Varela

REPUBLIC OF THE PHILIPPINES

PHILIPPINES SECOND SUSTAINABLE RECOVERY DPL

TABLE OF CONTENTS

1. INTRODUCTION AND COUNTRY CONTEXT	1
2. MACROECONOMIC POLICY FRAMEWORK.....	2
2.1. RECENT ECONOMIC DEVELOPMENTS	2
2.2. MACROECONOMIC OUTLOOK AND DEBT SUSTAINABILITY	3
3. GOVERNMENT PROGRAM	8
4. PROPOSED OPERATION	9
4.1. LINK TO GOVERNMENT PROGRAM AND OPERATION DESCRIPTION	10
4.2. PRIOR ACTIONS, RESULTS AND ANALYTICAL UNDERPINNINGS	10
4.3. LINK TO CPF, OTHER BANK OPERATIONS AND THE WBG STRATEGY	19
4.4. CONSULTATIONS AND COLLABORATION WITH DEVELOPMENT PARTNERS.....	20
5. OTHER DESIGN AND APPRAISAL ISSUES	20
5.1. POVERTY AND SOCIAL IMPACT.....	20
5.2. ENVIRONMENTAL, FORESTS, AND OTHER NATURAL RESOURCE ASPECTS.....	21
5.3. PFM, DISBURSEMENT AND AUDITING ASPECTS	23
5.4. MONITORING, EVALUATION AND ACCOUNTABILITY	24
6. SUMMARY OF RISKS AND MITIGATION	24
ANNEX 1: POLICY AND RESULTS MATRIX.....	26
ANNEX 2: FUND RELATIONS ANNEX	31
ANNEX 3: LETTER OF DEVELOPMENT POLICY.....	36
ANNEX 4: ENVIRONMENT AND POVERTY/SOCIAL ANALYSIS TABLE	37
ANNEX 5: COMPARISON OF INDICATIVE TRIGGERS AND PRIOR ACTIONS AND STATUS OF REFORMS FOR DPL 2	39
ANNEX 6: DPF PRIOR ACTIONS AND ANALYTICAL UNDERPINNINGS	43
ANNEX 7: PARIS ALIGNMENT ASSESSMENT.....	45

The Philippines First Sustainable Recovery Development Policy Loan was prepared by an IBRD and IFC team led by Ralph Van Doorn (Sr. Economist), Jaime Frias (Sr. Economist) and Gonzalo Varela (Lead Economist and Program Leader), and comprising Dominic Reyes Aumentado (Senior Procurement Specialist), Maria Lourdes Baclagon (Sr. Investment Officer), Agnes Chung Balota (Environmental Specialist), Gerlin May Catangui (Sr. Economist), Yoonyoung Cho (Sr. Economist), Kimberly May Baltao Chandra (Consultant), Yew Keat Chong (Sr. Economist), Kevin Cruz (Economist), Hope Arandela Gerochi (Infrastructure Specialist), Karl Jandoc (E T Consultant), Anuja Kar (Sr. Agriculture Economist), Uzma Khalil (Sr. Financial Sector Specialist), Heejin Lee (ET Consultant), Feng Liu (Program Leader and Sr. Energy Specialist), Thu Thi Le Nguyen (Sr. Environmental Specialist), Ou Nie (Financial Sector Economist), Pawan Patl (Sr. Environmental Economist), Sharon Piza (Economist), John Luke Plevin (Senior Financial Sector Specialist), Addepalli Sita Ramakrishna (Sr. Environmental Specialist), Ruth Rodriguez (Social Protection Specialist), Junu Shrestha (Sr. Environmental Specialist), Tatiana Skalon (Financial Sector Specialist), Tomas Sta. Maria (Sr. Financial Management Specialist), Jemima Sy (Lead Public Private Partnerships Specialist), Sri Kumar Tadimalla (Sr. Transport Specialist), Mio Takada (Sr. Agriculture Economist), Radu Tatucu (Sr. Financial Sector Specialist), Tao Wang (Sr. Environmental Specialist), and Melissa Yan (Procurement Specialist), with administrative support from Geraldine Asi (Team Assistant), Zoe Escobar (Team Assistant), Gia Mendoza (Program Assistant), Ernie Banag Monteverde (Program Assistant), Mildren Penales (Program Assistant), Venessa Vaishali Sarkar (Team Assistant), and Teresita Fallado Victoria (Program Assistant). The team worked under the guidance of Ndiamé Diop (Country Director, EACPF), Lalita Moorthy (Regional Director, EEADR), Lars Christian Moller (Practice Manager, EEAM2), and Cecile Thioro Niang (Practice Manager, EEAF2). Comments and input were also gratefully received from Gonzalo Varela (Program Leader, EEADR), Madhu Raghunath (Sector Leader, SEADR), Dandan Chen (Operations Manager, EACPF), and Prajwal Baral (E T Consultant). The peer reviewers were Mariem Malouche (Senior Economist) and Hans Beck (Lead Country Economist). The team gratefully acknowledges the excellent collaboration of the Government of the Philippines.



SUMMARY OF PROPOSED FINANCING AND PROGRAM

BASIC INFORMATION

Project ID	Programmatic	If programmatic, position in series
P180336	Yes	2nd in a series of 2

Proposed Development Objective(s)

The DPL series aims to support the Government of the Philippines' reforms to: 1) accelerate the economic recovery and boost medium-term growth; and 2) protect the environment and improve climate resilience.

Organizations

Borrower: DEPARTMENT OF FINANCE

Implementing Agency: Climate Change Commission, Bureau of the Treasury, Department of Agriculture, Department of Trade and Industry, Department of Transportation, Bangko Sentral ng Pilipinas, Department of Energy, Anti-Red Tape Authority, Department of Labor and Employment, Government Procurement Policy Board, National Economic and Development Authority, Public-Private Partnership Center, Department of Environment and Natural Resources

PROJECT FINANCING DATA (US\$, Millions)

SUMMARY

Total Financing	600.00
-----------------	--------

DETAILS

International Bank for Reconstruction and Development (IBRD)	600.00
--	--------

INSTITUTIONAL DATA

Climate Change and Disaster Screening

This operation has been screened for short and long-term climate change and disaster risks

Overall Risk Rating

Moderate



Results

Indicator Name	Baseline	Current value	Target
1. Annual average foreign investment in Public Service Sectors (percent of GDP).	0.55 percent of GDP (2017-2022 average)	No update	0.76 percent of GDP (2023-2025 average)
2. Time needed to reach final decision on PPPs by the ICC (Investment Coordination Committee) from receipt of a complete and compliant project proposal (months).	29.9 months (2022)	2.5 months (2023, based on 4 projects)	12 months (2025)
3. Number of PPP project decisions supported by the PDMF to aid the local approving body in assessing whether to pursue the PPP investment activity completed.	[to be added]	N/A	[to be added]
4. Electricity generation capacity (in MW) of solar, and onshore and offshore wind auctioned annually through the Green Energy Auction Program (GEAP).	0 MW (2022)	None	[to be added]
5. Share of electricity generation from renewable energy (percent).	22 percent (2021)	22 percent (2022)	28 percent (2025)
6. Cumulative green jobs supported with incentives under the Green Jobs Act since 2023, jobholders disaggregated by sex.	0 (2022)	No update	4,000 (2025)
7. Sustainability-related lending (loans to promote Renewable Energy and Energy Efficiency) by Domestic Systemically Important Banks (D-SIBs) (US\$ billion)	PHP 232 billion (2022)	No update	PHP 255 billion (2025)
8. Recovery of plastic packaging as share of amount introduced into the market by Obligated Enterprises (OEs), Collectives, and Producer Responsibility Organizations (PROs) (percent).	0 percent (2022)	No update	40 percent (2025)
9. Share of submitted EPR implementation programs with component on gender equality (percent).	0 percent (2022)	No update	5 percent (2025)
10. Share of electric vehicles in the annual purchases of new cars by National Government Agencies (percent).	Less than 1 percent (2022)	No update	At least 10 percent (2025)
11. Share of the 10 non-CSEs (Common use supplies and equipment) have become mandatory under the GPP (percent).	0 percent (2022)	No update	At least 40 percent (2025)
12. Financial resilience of Philippine Crop Insurance Corporation (PCIC) measured by compliance with Insurance Commission (IC) regulation.	PCIC is not compliant with Insurance Commission regulation (2022)	No update	PCIC is compliant with Insurance Commission regulation (2025)



**IBRD PROGRAM DOCUMENT FOR A PROPOSED
SECOND SUSTAINABLE RECOVERY DEVELOPMENT POLICY LOAN TO THE REPUBLIC OF THE PHILIPPINES**

1. INTRODUCTION AND COUNTRY CONTEXT

1. **This program document proposes the second operation in the amount of US\$ 600 million of a programmatic series of two Development Policy Loans (DPLs) supporting a sustainable economic recovery.** The Program Development Objectives (PDOs) and pillars of the operation are to support Government of the Philippines' (GOP) reforms to: 1) accelerate the economic recovery and boost long-term growth; and 2) protect the environment and improve climate resilience. Pillar 1 includes reforms to attract private investment in infrastructure and renewable energy (RE) and promote green jobs and investments. Pillar 2 supports reforms to enhance plastic waste management, promote green transport and procurement, and strengthen the resilience of the agriculture sector. The first operation supported foundational legal reforms and general implementation frameworks. The second operation builds on these foundations, focusing on the implementation of these reforms along their cycle.

2. **Advancing transformational economic reforms is vital to accelerate the economic recovery and boost long-term growth in the Philippines.** The Philippines has been one of the most dynamic economies in the East Asia Pacific (EAP) region, with GNI per capita more than tripling and poverty declining sharply over the past two decades. However, this was partially reversed by the COVID-19 pandemic, as growth contracted significantly in 2020. While the economy has rebounded in the years since, there remain considerable external and domestic risks that could hamper its recovery momentum. The Philippines also faces a complex range of structural challenges limiting its long-term growth potential.¹ Among these are (i) limited market competition in several key sectors; (ii) underinvestment in infrastructure, (iii) low foreign direct investment (FDI) resulting in part from regulatory restrictions, and (iv) low growth in the agriculture sector, heightened by the country's vulnerability to natural disasters and weakness of relevant institutions.² To achieve its long-term vision, the Philippines will need to overcome these longstanding constraints and challenges to sustain high levels of growth and create quality jobs.

3. **Climate change poses major risks to growth and development in the Philippines.** The country is exposed to frequent natural disasters and the impacts of climate change, which could cause severe economic and fiscal shocks and threaten the country's socioeconomic development. Without mitigation action, climate change will impose substantial economic and human costs, reducing GDP by as much as 13.6 percent of GDP by 2040, with the poorest households most affected.³ All sectors will be affected, with capital-intensive sectors likely to suffer most from extreme events, and agriculture suffering the most from slow-onset trends. Adapting to the risks of climate change, including extreme events and slow-onset problems, is thus critical for long-term development.

4. **Although the Philippines is a relatively low emitter of greenhouse gases (GHGs), emissions are expected to rise substantially over the next decade.**⁴ The overall share of fossil fuels in the primary energy supply increased from 60 to 67 percent from 2010 to 2019 due to the rapid growth of coal-fired power generation and sustained growth in oil demand from transport. The energy sector accounts for half of total

¹ Median incomes have increased at a much slower rate than GDP, and the pace of quality job creation has remained inadequate.

² World Bank, 2019, Systematic Country Diagnostic (SCD) of the Philippines.

³ World Bank, 2022, Philippines Country Climate and Development Report.

⁴ The 2022 CCDR projects an increase in the GHG emissions from 234 MtCO₂e in 2020 to 399 MtCO₂e in 2030.



emissions, while agriculture is the second largest source, accounting for a quarter. Transport is the biggest fossil fuel-consuming sector – and the largest source of air pollution, causing an estimated 66,000 premature deaths a year – with GHG emissions likely to quadruple by 2050 under current scenarios and policies. Plastic waste management is also a growing problem in the country, which is among the top five emitters of plastic waste in the ocean, causing marine pollution and flood risks in drainage infrastructure.

5. **The DPL series supports the government's reform efforts in accelerating the economic recovery, boosting long-term growth, and protecting the environment and improving climate resilience.** To accelerate the economic recovery and boost long-term growth in a fiscally constrained environment, Pillar 1 focuses on supporting reforms to attract private investment in public infrastructure, especially in domestic shipping, and in RE, especially in offshore wind (OSW), increase investment in infrastructure through public-private partnerships (PPPs), create green jobs, and attract more financing into green sectors. These reforms will facilitate the Philippines' transition to a low-carbon economy while achieving greater energy security and lower energy costs. Pillar 2 supports reforms to enhance plastic waste management, promote adoption of electric vehicles (Evs), mainstream green procurement, and protect the national budget and farmers from climate-related risks in the agriculture sector. Collectively, these reforms would contribute to the Philippines' climate change mitigation and pollution management and improve its resilience to climate risks. The reforms are in line with the priorities outlined in the Philippine Development Plan (PDP) 2023–2028, which calls for fundamental transformations across economic, institutional, environmental, and social sectors.

6. **The reforms supported by this DPL series are in line with the Bank's 2019-2023 Country Partnership Framework (CPF) and corporate priorities.** The Prior Actions (PAs) contribute to the CPF objectives, namely 5) Promote regulatory reforms to enhance competitiveness; 6) Improved efficiency of public service sectors in selected areas; 7) Improved income opportunities in agriculture; and 10) Increased resilience to natural disasters and climate change. They are also tagged to Pillar 4: Strengthening Policies, Institutions and Investments for Rebuilding, and Pillar 3: Strengthening Climate Resilience of the Global Crisis Response Framework (GCRF). The reforms align with the green, resilient, and inclusive development (GRID) framework and aim to contribute to climate change mitigation and adaptation and to attract private investment.

7. **These reforms are being implemented at the beginning of a new administration, which took office in July 2022 and has emphasized policy continuity.** The new administration is providing reform continuity through the implementation of recently approved laws. This applies to investment, plastics, and revenue reforms. Recognizing the fiscal constraints and the need for private sector involvement in infrastructure investment, it has committed to using PPPs and improving the PPP framework. The World Bank has worked with both administrations to keep these reforms on the agenda and to support their implementation.

8. **The macroeconomic policy framework is adequate for the proposed operation.**

2. MACROECONOMIC POLICY FRAMEWORK

2.1. RECENT ECONOMIC DEVELOPMENTS

9. **GDP growth slowed to 4.3 percent year-on-year in Q2 2023 (7.5 percent in Q2 2022) as elevated inflation and weak external demand weighed on services and industry.** While services remained the main growth engine, its contribution to growth fell by 1.9 percentage points as high inflation, waning pent-up demand, and tight financial conditions dampened private consumption growth. Weak external demand



weighed on export growth, slowing down manufacturing and mining activities. Ongoing fiscal consolidation and underspending reversed the government consumption's growth contribution to -1.3 ppts in Q2 2023 (1.9 ppt in Q2 2022). The contribution of fixed investments remained positive at 1.0 ppt in Q2 2023, albeit lower than the 3.2 ppts contribution in Q2 2022. Slower growth in public construction coupled with high interest rates led to a substantial slowdown in construction investments.

10. Inflation remained elevated in 2023, resulting in continued monetary policy tightening. Headline inflation increased to 6.6 percent in the first nine months of 2023, above the 2-4 percent target of the Bangko Sentral ng Pilipinas (BSP). High inflation was driven by elevated food prices and housing and utilities prices. Moreover, the economic recovery led to demand-side price pressures, with core inflation averaging 7.2 percent in the first nine months of 2023. After peaking in March, core inflation has decreased to 5.9 percent in September, but at a gradual pace suggesting lingering demand-side pressures. The BSP delivered an off-cycle 25 basis points key policy rate hike, raising it to 6.5 percent to anchor inflation expectations.

11. The current account (CA) deficit narrowed to 4.0 percent of GDP in H1 2023 (6.1 percent in H1 2022). It was due to strong growth in service exports fueled by tourism recovery, lower global commodity prices, and the contraction in goods imports amid weaker domestic demand. Further, the increase in public and private external borrowing resulted in a larger net inflow in financial accounts despite the reversal of portfolio investment to net outflows and the decline in net inflows of FDI. Residents' demand for foreign debt securities increased, and non-residents' demand for the country's debt instruments and equity capital declined on the back of investors' concerns on the global outlook. As a result, the balance-of-payments (BOP) registered a net surplus of 1.1 percent of GDP in H1 2023 (1.6 percent of GDP in H1 2022).

12. The fiscal deficit continued to narrow as ongoing fiscal consolidation efforts led to a reduction in public spending. The reduced deficit was in part driven by a rise in tax revenues, with the government surpassing its collection target. Meanwhile, public expenditures declined, amid ongoing fiscal consolidation efforts and delays in budget execution. As a result, the fiscal deficit narrowed to 4.8 percent of GDP in H1 2023. Public debt stood at 61.0 percent of GDP as of June 2023, still well above the 39.6 percent of GDP recorded in end-2019. The debt profile remains favorable, consisting of long-term (78.2 percent), domestic (68.9 percent), and peso-denominated (68.7 percent) debt as of end-July 2023.

13. The Philippine financial system remained resilient with well-capitalized banks and no material exposure to recently failed banking institutions abroad. Asset quality continued to improve, as evidenced by the decline in the gross non-performing loan (NPL) ratio amid robust domestic demand. Meanwhile, the NPL coverage ratio is adequate at 104.9 percent, which is higher than pre-pandemic levels. Bank profitability continued to show considerable improvement, surpassing pre-pandemic levels. Nonetheless, the expansion of total outstanding loans in June was tempered by elevated interest rates, primarily affecting the loan growth for production activities. As of May 2023, most temporary relief measures introduced during the COVID-19 pandemic had already lapsed save for those that incentivize lending to micro-small-medium enterprises.

2.2. MACROECONOMIC OUTLOOK AND DEBT SUSTAINABILITY

14. Although growth will moderate over the medium term, it will remain robust, averaging 5.7 percent in 2023-26. Growth is expected to slow to 5.6 percent in 2023.⁵ Global growth is expected to moderate

⁵ The GOP's Development Budget Coordination Committee projects that GDP growth will reach 6.0 to 7.0 percent for 2023, picking up to 6.5 to 8.0 percent for 2024 to 2028. 185th DBCC Meeting on June 9, 2023.



substantially in 2023 due to the impact of ongoing monetary tightening, more restrictive credit conditions, high inflation, and lower global trade growth. Domestic private consumption growth will weaken in 2023, due to elevated inflation, while tighter financing conditions will dampen credit growth and subdue investments. Over the medium term, growth will remain anchored on domestic demand, as inflation returns to within the target range. The medium-term outlook will be supported by an increase in investment buoyed by reforms which liberalized investment in key sectors such as transportation, logistics, telecommunications, and RE. Moreover, the public investment program will remain supportive of the economic recovery, despite ongoing fiscal consolidation. The government's continuing efforts to strengthen disaster risk management (DRM) are expected to mitigate the short and long-term impacts of disasters, climate change, and public health emergencies on human capital accumulation, economic growth, and poverty reduction.

Table 1: Key Economic Indicators

	2020	2021	2022	2023	2024	2025	2026
	Actual			Projected			
In percent of GDP, unless otherwise stated.							
Growth and inflation							
Gross domestic product (percent change)	-9.5	5.7	7.6	5.6	5.8	5.8	5.7
Inflation (period average)	2.4	3.9	5.8	5.9	3.6	3.0	3.0
Savings and investment							
Gross domestic savings	11.3	12.1	12.0	12.3	12.0	11.7	11.6
Gross domestic investment	21.4	22.3	22.7	22.8	23.1	23.9	24.9
Public sector							
National government balance	-7.6	-8.6	-7.3	-6.0	-5.1	-4.1	-3.9
Primary balance	-5.5	-6.4	-5.0	-3.3	-2.6	-1.3	-1.1
Total revenue (government definition) 1/	15.9	15.5	16.1	15.7	15.8	15.9	16.2
Tax revenue	14.0	14.1	14.6	14.2	14.3	14.3	14.6
Total spending (government definition) 1/	23.5	24.1	23.4	21.7	21.0	20.1	20.1
Current operating expenditures	18.5	18.0	17.4	16.7	15.9	15.0	15.0
Capital outlays	4.9	6.0	5.9	5.0	5.0	5.1	5.1
National government debt 2/	54.6	60.4	60.9	61.1	61.4	60.9	60.2
Balance of payments							
Total exports 3/	33.1	33.0	35.4	33.7	34.2	34.3	34.3
Total imports 4/	29.9	34.5	39.9	36.6	36.9	37.2	37.2
Remittances 5/	9.2	8.9	8.9	9.0	9.1	9.0	9.0
Current account balance	3.2	-1.5	-4.5	-2.9	-2.7	-3.0	-2.9
Foreign direct investment	1.9	3.0	2.3	2.2	2.4	2.5	2.6
Portfolio investment 6/	0.5	-2.6	0.3	0.5	0.6	0.6	0.7
International reserves							
Gross official reserves (billions of dollars) 7/	110.1	108.8	96.1				
Gross official reserves (months of imports) 8/	12.3	9.7	7.3				
Foreign Exchange							
US dollar (end-of-period)	48.0	50.8	56.1				
US dollar (average)	49.6	49.3	54.5				

Source: Government of the Philippines for actual data and World Bank for projections.

Note: Numbers may not add up due to rounding errors or statistical discrepancy. 1/ Revenues defined as "all cash inflows of the national government treasury which are collected to support government expenditures but do not increase liabilities." Expenditures defined as "obligations that the government incurs that must be paid during or after the year when they were incurred." 2/ Including borrowing for the Bond Sinking Fund. 3/ Total exports pertain to exports of goods and services, and credits on primary and secondary income. 4/ Total imports cover imports of goods and services, and debits on primary and secondary income. 5/ Remittances refer to personal remittances cover cash sent through banks and informal channels as well as remittances in kind. 6/ Portfolio investment inflows are reported as positive numbers although BSP reports them as negative values in the BOP tables. 7/ Including gold. 8/ Defined as the total of goods and services imports and primary income that can be financed by reserves.



15. **Headline inflation will remain above the central bank target in 2023.** While global commodity prices for energy expected to moderate over the forecast horizon, domestic food supply challenges due to weather disturbances, the tightening of global rice supply, and delays in importation, will weigh on headline inflation. Second-round effects on wages, rent, and transport prices will contribute to high core inflation in 2023. Headline inflation is projected to remain above the BSP target range of 2–4 percent, averaging 5.9 percent in 2023. The BSP may resume policy tightening in the near-term should inflation expectations increase due to rising food and transport costs in recent months. Inflation is projected to return to the target range in 2024-25 as the authorities resolve domestic food supply challenges while demand side price pressures wane.

Table 2: Philippines External Financing and Sources (2020 – 2026)

	2020	2021	2022	2023	2024	2025	2026
		Actual		Projections			
	In billion US\$						
Financing requirement	-7.9	6.4	21.2	14.1	15.0	17.8	18.6
Current account deficit	-11.6	5.9	18.1	12.8	13.3	16.2	17.4
General government amortization	1.2	1.2	1.0	1.3	1.7	1.7	1.3
Net Errors and Omissions	2.5	-0.8	2.0	0.0	0.0	0.0	0.0
Financing sources	-7.9	6.4	21.2	14.1	15.0	17.8	18.6
Net FDI	6.8	12.0	9.4	10.0	11.9	13.8	16.0
Net Portfolio Investments	1.7	-10.2	1.3	2.3	3.0	3.5	4.0
Net All Other Flows	-8.9	0.3	-1.5	-5.5	-6.1	-6.7	-7.4
Gross general government borrowing	8.5	5.6	4.8	6.0	6.1	6.5	7.6
Change in reserve assets	-16.0	-1.3	7.2	1.3	0.1	0.7	-1.6

Source: GOP for actual data and World Bank for projections.

16. **The CA deficit will narrow over the medium term due to the recovery in services exports, steady remittance inflows, and lower global commodity prices.** External demand for merchandise exports is expected to moderate in 2023 because of a sharp slowdown in global activity, with better prospects in 2024-25, as global growth recovers. However, the strong recovery in tourism demand will strengthen services exports growth. Import growth is expected to fall in 2023 due to slower growth in investments and private consumption, and the reduction in global commodity prices. As a result, the CA deficit is projected to narrow to 2.9 percent of GDP in 2023 and decline to 2.8 percent in 2024-25. The CA deficit is expected to be financed primarily by net FDI inflows, general government borrowing, and net portfolio inflows.

17. **The pace of public spending is expected to decelerate in line with medium-term fiscal consolidation program.** The fiscal deficit will decline to 3.9 percent of GDP by 2026, as the initial stages of fiscal consolidation will be led by a reduction in public spending. Planned reductions in recurrent spending consist of the unwinding of pandemic support and plans to make bureaucracy leaner and more efficient. Although capital outlays will also decline over the forecast horizon, the GOP will complement public infrastructure spending with more PPPs. Spending on education and health are expected to remain above pre-pandemic levels. Climate related expenditures have not been impacted by fiscal consolidation, and climate related spending reached a record high in 2023. While fiscal consolidation will initially have a dampening effect on growth, the benefits of fiscal sustainability will lead to higher long-term growth as macroeconomic stability will boost private investment. The current spending program does not include the full fiscal devolution of responsibilities to Local Government Units (LGU), as the transition to full devolution by 2024 was extended due to concerns of LGU absorptive capacity.



Table 3: Key Fiscal Indicators

	2020	2021	2022	2023	2024	2025	2026
	Actual			Projected			
	In percent of GDP, unless otherwise stated.						
Overall Balance	-7.6	-8.6	-7.3	-6.0	-5.1	-4.1	-3.9
Primary Balance	-5.5	-6.4	-5.0	-3.3	-2.6	-1.3	-1.1
Total Revenues (and grants)	15.9	15.5	16.1	15.7	15.8	15.9	16.2
Tax Revenues	14.0	14.1	14.6	14.2	14.3	14.3	14.6
Taxes on net income and profits	5.8	5.4	5.6	5.4	5.4	5.7	5.8
Taxes on Domestic Goods and Services	4.2	4.3	4.1	4.4	4.6	4.5	4.7
General Sales, Turnover, or VAT	1.9	2.0	2.2	2.1	2.2	2.2	2.3
Selected Excises on Goods	1.6	1.6	1.4	1.5	1.6	1.5	1.6
Selected Taxes on Services	0.7	0.7	0.5	0.7	0.7	0.7	0.7
Other Domestic Taxes	0.0	0.0	0.0	0.1	0.1	0.1	0.1
Taxes on International Trade and Transactions	3.0	3.3	3.9	3.4	3.4	3.3	3.2
Other Taxes	0.9	1.1	1.0	1.0	0.9	0.8	0.8
Non-tax revenue	2.0	1.4	1.5	1.5	1.6	1.6	1.6
Total Expenditures	23.5	24.1	23.4	21.7	21.0	20.1	20.1
Current operating expenditures	18.5	18.0	17.4	16.7	15.9	15.0	15.0
Personnel Services	6.6	6.6	6.3	5.9	5.7	5.4	5.4
Maintenance and other operating expenditures	4.9	4.5	4.0	3.6	3.4	2.8	2.7
Subsidy	1.3	1.0	0.9	0.7	0.6	0.4	0.6
Allotment to Local Government Units	3.5	3.5	3.8	3.7	3.6	3.5	3.6
Interest Payments	2.1	2.2	2.3	2.7	2.6	2.8	2.9
Tax Expenditures	0.2	0.2	0.2	0.2	0.1	0.1	0.1
Capital Outlays	4.9	6.0	5.9	5.0	5.0	5.1	5.1
Infrastructure & other capital outlay	3.8	4.6	4.6	4.0	4.0	4.2	4.2
Equity	0.1	0.2	0.0	0.2	0.2	0.0	0.0
Capital transfer to local government units	1.0	1.1	1.2	0.8	0.8	0.9	0.9
Net Lending	0.0	0.1	0.1	0.0	0.0	0.0	0.0
National Government Financing (gross)	15.3	13.3	9.8	12.4	12.8	11.2	10.9
External (gross)	4.1	2.9	2.4	10.2	10.5	8.6	8.3
Domestic (gross)	11.1	10.4	7.5	2.3	2.3	2.6	2.5
National Government Debt	54.6	60.4	60.9	61.1	61.4	60.9	60.2

Source: Government of the Philippines for actual data and World Bank for projections.

18. **The government's efforts to pursue fiscal consolidation through a strategic reduction in public expenditures will be complemented by efforts to improve revenue collection.** Tax revenues are expected to decline to 14.2 percent of GDP in 2023 amid slower economic growth, lower import duty revenues due to a moderation in global commodity prices, and the second tranche of reductions in personal income taxes from the 2019 tax reform law. Tax collections are expected to reach pre-pandemic levels in 2026, amid sustained growth, and efforts to improve tax collection through tax policy and administration reforms. The baseline projection currently incorporates the passage of three priority tax policy measures, which is expected to increase revenues by an estimated annual average of 0.2 percent of GDP beginning in 2024.

19. **Although public debt increased significantly since 2019, the combination of fiscal consolidation and the growth recovery will keep debt levels sustainable.** The national government debt-to-GDP ratio is projected to peak at 61.4 percent in 2024 and then decline due to fiscal consolidation and growth recovery. The recent reform to expand the use of PPPs for infrastructure investment is not expected to increase risks



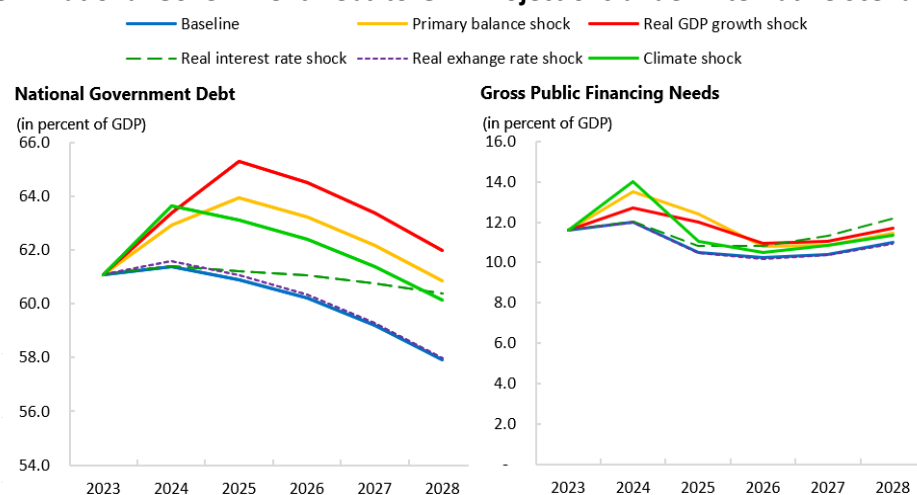
to the fiscal position. The risk for the pipeline PPPs is managed by a contingency allocation in the budget. The favorable debt composition is expected remain, in line with the government debt management strategy.

Table 4. External Debt Composition (End-December 2022)

	US\$ million	Share of Total Debt	Percent of GDP
Total External Debt	111,268	37.2	28.4
Monetary Authorities	3,833	1.3	1.0
General Government	59,809	20.0	15.2
Banks	19,840	6.6	5.1
Other Sectors	27,787	9.3	7.1
of which intercompany lending	4,008	1.3	1.0
Long term	94,649	31.6	24.1
Short tem	16,619	5.5	4.2

Source: BSP, Philippine Statistics Authority.

Figure 2: National Government Debt-to-GDP Projections under Alternative Scenarios



Source: World Bank staff calculations.

20. **The debt dynamics remain resilient against shocks.** Four scenarios were considered including negative shocks on the real growth rate, interest rate, real exchange rate, and the primary balance. Among these scenarios, the most significant shocks are those originating from deviations in the real GDP growth rate and the primary balance. If projected growth rates were reduced by a third or the primary deficits raised by 120 bps in the next two years, national government debt would increase to a higher path with a debt ratio peaking around 65.3 percent or 63.9 percent, in 2025 before declining in the medium run (**Error! Reference source not found.**). In the worst-case scenario of combined macro-fiscal shock, the debt ratio would peak at 68.5 percent of GDP in 2025. A climate shock similar to Typhoon Haiyan in 2024 would increase the primary deficit by 2 percentage points, leading to an increase in debt-to-GDP ratio to 63.6 percent, 2.2 ppt above the baseline.

21. **The growth outlook faces significant downside risks.** On the domestic front, food security may be challenged given the weak agriculture sector, onset of El Niño, and tighter domestic and global food commodity supplies. Future energy and food shocks brought about by protracted geopolitical conflicts and



extreme weather events remain key downside risks in the foreseeable future. This could lead to persistently high inflation, which would erode purchasing power, and threaten to deepen poverty and worsen economic vulnerability. The possibility of higher-than-expected global inflation, tighter global financing conditions, a further slowdown in growth of China, and escalating geopolitical tensions could cause a sharper-than-expected growth slowdown. In addition, the threat of sticky core inflation due to tight labor markets and resilient demand could lead to further monetary tightening. The risk of a sharp tightening of global financial conditions could result in capital outflows and currency depreciation in emerging and developing economies.

22. **Climate shocks in the form of extreme weather events or slow-onset trends will continue to weigh on the country's immediate recovery and long-term inclusive growth prospects.** These climate shocks disrupt economic activities, damage infrastructure, and induce deep social disruptions. On average, annual losses from typhoons are estimated at 1.2 percent of GDP and as much as 4.6 percent of GDP in extreme cases like Super Typhoon Yolanda (Haiyan) in 2013. By 2030, the average estimated loss of GDP is at least 3.2 percent, rising to at least 5.7 percent by 2040. However, the impacts could reach 7.6 percent of GDP by 2030 and 13.6 percent by 2040. Thus, the cost of inaction could severely undermine the Philippines' long-term vision to be free from poverty by 2040 and remains a constant downside risk to the country's outlook.

23. **The macroeconomic policy framework is adequate for the proposed operation.** The growth outlook is positive, anchored on domestic demand, a recovering services sector, and a public infrastructure investment agenda that will gain steam over the forecast horizon. The government's commitment to accelerate the pace of structural reforms as part of the recovery will increase competitiveness and support growth. The financial sector remains stable and faces no material exposure to banking sector stress abroad, while asset quality continues to improve, even with the removal of most pandemic related forbearance measures. The BSP has responded to rising inflation with monetary tightening, consistent with its inflation-targeting objective and responsive to global interest rate movements. It is expected to maintain a market-determined exchange rate regime as the first line of defense against external shocks. On fiscal policy, the authorities have publicly laid out its medium-term expenditure plan, reflecting a steadily declining share of expenditures to GDP, and is expected to gradually raise revenues through tax reforms. Public debt is sustainable owing to the expected growth recovery and fiscal consolidation.

3. GOVERNMENT PROGRAM

24. **The GOP remains committed to achieving the medium-term development objectives outlined in the PDP 2023-28.** The PDP's strategic framework is guided by *AmBisyon Natin 2040*, the long-term development aspirations of the country organized according to three objectives a) develop and protect capabilities of individuals and families; b) transform production sectors to generate more quality jobs and produce competitive products; and c) foster an enabling environment encompassing institutions, the physical and natural environment. Underlying these priorities is a commitment to promote investment, including FDI, and to facilitate stronger partnerships with the private sector, including by strengthening and facilitating PPPs to upgrade infrastructure. Policies enabling open and competitive markets are expected to complement these reforms, and businesses are expected to benefit from lower transaction costs, a healthy regulatory environment, and protection from anti-competitive practices, leading to increased productivity.

25. **The GOP has also put in place a comprehensive set of policies and strategies to facilitate low carbon economy transition and strengthen ecosystem and disaster risk resilience.** Under the PDP, the GOP is committed to increase investment in RE to and achieve 50 percent share of RE in power generation by 2040.



The GOP will fast-track the implementation of the Green Jobs Assessment and Certification Guidelines to operationalize the Green Jobs Act. Concurrently, the implementation of green public procurement (GPP) will also be strengthened under the PDP as part of the initiative to guide consumer behavior towards sustainable products and services. To reduce air pollution from the transport sector, the GOP has institutionalized the promotion of Evs through passing the Electric Vehicle Industry Development Act (EVIDA) and committed in the PDP to implement the Comprehensive Roadmap for Electric Vehicle Industry (CREVI). The legislative reforms on solid waste and plastics management have gained momentum by phasing out single use plastics (SUP) and introducing plastic bags excise tax and Extended Producer Responsibility (EPR). To enhance climate and disaster risk resilience, the GOP will boost multistakeholder partnership and strengthen the capacity of LGUs and communities in disaster prevention and preparedness, increase public awareness of risk and vulnerability, and strengthen the implementation of the National Climate Risk Management Framework.

4. PROPOSED OPERATION

26. **The DPL series aims to support the reforms of the GOP to 1) accelerate the economic recovery and boost long-term growth; and 2) protect the environment and improve climate resilience.** The proposed operation is the second in a programmatic series of two operations. It is structured around the following two pillars corresponding to the development objectives:

- Pillar 1. Accelerate the economic recovery and boost long-term growth by supporting reforms to increase investment and productivity in public service sectors, especially domestic shipping, attract private investment in public infrastructure, increase share of RE in the energy mix, and create more green jobs and direct more investment to green activities and services.
- Pillar 2. Protect the environment and improve climate resilience through reforms to enhance plastic waste reduction, recovery, and recycling, promote green transport, encourage more production and consumption of green goods and services through public procurement, and protect the budget and farmers from climate-related contingent liabilities.

27. **Reforms supported by the proposed operation are expected to strengthen resilience to natural disasters and climate change and reduce emissions.** The Philippines is highly exposed to natural disasters and climate change. Without action, climate change will impose substantial economic and human costs, affecting the poorest households the most. The agriculture sector is highly sensitive to climate and geophysical hazards, and warming temperatures, extreme weather events, etc. are expected to worsen significantly by mid-century. Investment in new infrastructure and agriculture measures to boost climate resilience could cost about 0.7 percent of GDP. PAs 3, 4, 5, 6, 7, 8, 9 and 10 are expected to contribute to climate change mitigation and adaptation.

28. **Reforms will also support narrowing the gender gap in the labor market.** The Philippines has attained a high standard of gender equality by global standards. Yet, female labor force participation (FLFP) rates are among the lowest in the East Asia and the Pacific region, earnings at every level of education are lower for women, and they are at a relatively higher risk from conflict and disasters. About half of working-age women participate in the labor market compared to three-quarters of men and the ratio of employment to working-age population is only 45 percent for women, compared to 70 percent for men. Women are confined to lower skill and less productive work and are relatively more represented in vulnerable forms of employment, including in the plastic sector. The PDP includes commitments to increase the FLFP to 52 percent by 2028 and a section about mainstreaming gender and green competencies. PAs 5 (green jobs) and 7 (EPR) are expected to help close the gender gap in the labor market and PA 10 (crop insurance) is expected



to help close the gap in disaster resilience.

29. **This operation features core Maximizing Finance for Development (MFD)-enabling and Private Capital Enabled (PCE) reforms under Pillar 1.** The government declared a legislative priority over reforms that engage private sector and promote PPPs. PAs 1, 2, 3, and 4 are expected to attract significant private investment into key sectors (see Annex 5 for details of links between PAs and corporate priorities).

30. **The proposed DPL series benefits from successful stakeholder engagements during previous DPL operations.** The DPL series builds on lessons in successful collaboration: the Bank and the GOP used policy dialogue to identify a reform pipeline early on, and to design technical assistance and capacity building programs to advance and support the program. These engagements strengthened the timeliness and quality of reforms, resulting in a robust pipeline of game-changing legal, institutional, and regulatory reforms. Moreover, as implementation is one of the key binding constraints in the Philippines, the Bank is providing intensive technical support to assist in the implementation to increase the effectiveness of the reforms.

4.1. LINK TO GOVERNMENT PROGRAM AND OPERATION DESCRIPTION

31. **The reforms supported by the proposed DPL series are aligned with the PDP 2023–2028.** The reforms contribute to the following priorities under the PDP: (i) promoting trade and investment; (ii) promoting competition and improving regulatory efficiency; (iii) expanding and upgrading critical infrastructures; (iv) expanding employment opportunities, and (v) accelerating climate adaptation and strengthening disaster resilience.

32. **The policy matrix for this proposed operation is broadly unchanged from the matrix foreseen in the first operation.** Six out of ten PAs are substantially unchanged from the Indicative Triggers for DPL 2. An additional PA to strengthen the PPP framework through a new PPP Code has been added (PA 2), which improves the PPP reform. The OSW policy and framework will streamline permit issuance, and also accelerate the regulatory development process for OSW, making the reform stronger. The Sustainable Finance Taxonomy (PA 6) is slightly weaker. While the Insurance Commission (IC) is part of the Financial Sector Forum (FSF), which developed the Taxonomy, along with BSP and the Securities and Exchange Commission (SEC), it will not yet issue an IC Circular mandating its use by the insurance sector, which reduces the scope of the reform. However, the IC has actively participated in the dialogue and consultation process. In addition, the insurance sector is relatively smaller than the banking and capital market sectors.⁶ The strength of plastic waste management reform (PA 7) is to be determined (details in Annex 5).

33. **Most PAs are completed or on track to be completed by time of the Decision Review meeting.** PA 10 (crop insurance) is completed, PA 3 (RE) is completed subject to agreement with the Department of Energy (DOE), PA 6 (plastic waste) is under discussion with DENR. The remaining seven PAs are expected to be completed by the time of the Decision Review meeting (February 2024) or before (details in Annex 5).

4.2. PRIOR ACTIONS, RESULTS AND ANALYTICAL UNDERPINNINGS

Pillar 1. Accelerate the economic recovery and boost long-term growth

Increase investment in public service sectors

⁶ Insurance institutions account for only 7 percent of total assets of the financial system in the Philippines.



34. **Adopting general, and sector specific IRRs is critical to unlock the full potential of the PSA amendment, especially in the domestic shipping sector.** The amendment of the Public Service Act (PSA) supported by the first DPL brings an opportunity to increase economy-wide total factor productivity, by 3.2 percent. However, full gains require subsequent sector regulations to repeal all restrictions to foreign ownership, include mechanisms to ensure service cost reductions and quality improvements, and follow transparent screening protecting the public interest. Implementing regulators need guidance in crafting sectoral issuances to ensure consistency, coherence, completeness, and timeliness. Liberalized sectors face possible policy reversal under pressure from incumbents.⁷ This operation focuses on the general regulatory framework and sector regulations, specifically for the domestic shipping sector, a sector that (with telecoms), showed the highest level of restrictions to FDI, prior to the PSA amendment. Improvement in domestic shipping services can boost commerce and facilitate interisland transfer.⁸

35. ***PA 1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.***

36. **The adoption of the general IRRs implements the general framework and reviews processes of liberalization and the issuance of MARINA Circular [X] implements it at the domestic shipping sector.** PSA amendment general IRR will reduce investor uncertainty by introducing criteria and procedures for public service sector review,⁹ establishing general regulatory mechanisms such as for performance audit, and clarifying definitions such as ownership and control of foreign investment. The general IRRs empower NEDA to assist sector regulators in developing supplementary regulations, track improvements in service quality and performance through the requirement for annual performance audits and the surveying of a baseline for the quality of regulation and quality of service. The MARINA (Maritime Industry Authority) Circular [X] with scope over domestic shipping repeals remaining restrictions to foreign ownership or nationality requirements in the sector¹⁰ and provides guidance for the effective regulation of the sector.

37. **Expected result:** Increase in the annual average foreign investment in Public Service Sectors from US\$2.1 billion (PHP109 billion or 0.55 percent of GDP) (2017-2022 average) to US\$3.9 billion (PHP 203 billion or 0.76 percent of GDP) (20-23-2025 average) (RI 1).

Attract private investment in public infrastructure

38. **The GOP relies on PPPs for infrastructure investment that sustains economic recovery, while managing the fiscal burden.** The Philippines has a strong record in using PPPs for infrastructure investment. However, the operating environment for PPPs has deteriorated over the past years, which has halved the number of PPPs and reduced investment by 40 percent between 2017-2021 and the preceding 5 years. Revenue transfers to LGUs are set to rise by more than 50 percent in the next years, following the Mandanas

⁷ I.e., reclassification of public services to public utility or critical infrastructure, regulatory capture, opaque licensing process, and discriminatory accreditation requirements.

⁸ It facilitates 98 percent of domestic inter-island trade, which has averaged 89 million tons of cargo annually in the last five years. In 2022 the Philippines featured nearly 16,000 registered domestic ships servicing the nearly 1,300 inter-island shipping routes.

⁹ To implement the provisions in the Amended PSA related to the reclassification of a public service to a public utility, national security review of investment transactions, and reciprocity requirement for investments in critical infrastructure.

¹⁰ “Domestic Shipping” refers to the transport of passengers or cargo, or both, by ships registered and licensed under Philippine law between Philippine ports and within Philippine territorial waters.



ruling, but LGUs have struggled to execute capital investment plans. In response, several LGUs have turned to private operators to prepare complex infrastructure projects through unsolicited proposals. Overreliance on directly negotiated projects has raised concerns about market concentration and absence of competition. Furthermore, most local partnerships use the joint-venture regulation, rather than the PPP process: a loophole for imposing lighter requirements and obtaining quicker approvals.

39. ***PA 2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]***

40. **The reform strengthens the regulation of PPPs by addressing outstanding gaps in the PPP framework, which could only be addressed by legislation.** The first DPL supported improving the framework for PPPs within the scope of the Build-Operate-Transfer (BOT) Law through amending its IRRs. The new PPP Code, replacing the BOT Law, unifies PPPs and joint venture approval processes, plugging a loophole that allows local implementing agencies avoid scrutiny. To streamline the PPP approval procedures, the Code raises the authorization thresholds in keeping with current costs and reduces the number of steps for unsolicited proposals (USPs). To increase contestability, the Code increases the challenge period for USPs to up to one year. The Code also introduces provisions for managing fiscal risks arising from PPPs, strengthening the role of the PPP Center in compliance reviews of submissions; expanding required disclosures; and introducing a PPP Risk Management Fund. Finally, the Code provides incentives for sustainability and reduction of emissions in PPP preparation. (Regulations and systems for emissions reduction trading and carbon pricing will need to be put in place for PPPs to fully benefit). A third of the projects expect to reduce GHG emissions through renewable power generation and distribution, energy efficiency interventions (green building designs) and modal shifts in transportation through public transport projects. The reform improves the existing legal and regulatory framework by codifying into law procedural improvements.

41. **Expected result:** Improve the quality of PPP projects (currently comprising of 74 projects worth US\$1.1 billion). Reduce the time needed to reach final decision on PPPs by the ICC (Investment Coordination Committee) from nearly 30 months to 12 (RI 2).

42. **Despite increased revenues available to local governments, execution of infrastructure projects remains a constraint to local economic development.** With short political cycles and weak project preparation capacities, local governments struggle to develop infrastructure projects and PPPs. Biased incentives for cost recovery have made LGUs reluctant to seek preparation support from the Project Development and Monitoring Facility (PDMF). Instead LGUs have depended on private sector-initiated projects. The reform relaxes procedural requirements and corrects reimbursement conditions to motivate LGUs seek preparation support. LGUs with tight fiscal positions are no longer required to fully reimburse project preparation costs either when a study yields the PPP project unfeasible or when the PPPs do not materialize due to uncontrollable circumstances (i.e., to no fault of the LGUs). The PDMF reform enables international financial institutions, UN organizations, and other international organizations to support transactions being prepared with PDMF funding, thereby enhancing successful PPP development through the pooling resources and through the sharing of risks when PPPs do not achieve commercial closure.

43. ***PA 3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions' transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by***



[PPP Board Resolution X]

44. **The PDMF reform seeks to improve the quality of PPP project design and implementation by strengthening capacity of local authorities.** The revised PDMF guidelines unlock technical, legal, and financial advisory to LGUs, helping them to identify, prepare, and approve PPP projects that bring value for money over the directly negotiated projects. The updated guidelines also require LGUs to consider climate resilience when evaluating investment options. Under the implementation strategy, the PPP Center, with Bank assistance, is developing standard PPP models that incorporate mitigation measures in solid waste management, real estate and housing development and off-grid and small-grid electricity distribution.

Expected results: Increase in the number of PPP project decisions supported by the PDMF to aid the local approving body in assessing whether to pursue the PPP investment activity are completed according to the Technical Assistance Agreement signed between the PPP Center and the local authority (RI 3). [targets will be discussed with the PPP Center]. Advisory will enable LGU approving units to assess whether to pursue the PPP investment activity that will generate value for money.

Increase share of RE in power generation

45. **The Government set an ambitious target of 50 percent of RE in total power generation by 2040, but investment in solar and wind energy generation has been slow to materialize.** As of 2022, the total installed generation capacity from solar and wind energy stood at 2.1 gigawatt (GW), a fraction of the 58 GW capacity expected for achieving the 2040 RE target. Bridging this gap will require commissioning 3.1 GW of solar and wind per year from 2023 to 2040, compared to less than 0.6 GW total added in 2020 and 2021. RE developers and investors cite complex and lengthy permitting processes as a key deterrent: processing and approval of RE project takes an average of 1,876 calendar days with 359 signatories from 74 agencies required. Furthermore, the Government has not yet established permitting processes for OSW, without which investments cannot be made.

46. ***PA 4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President's Office and the Department of Energy (DOE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.***

47. **Establishing a policy framework that mandates all relevant government agencies to integrate permitting processes for OSW development will reduce uncertainty and boost investment in OSW projects.** This step follows the liberalization of the solar and wind energy and setting the 50 percent mandate (both supported by the first DPL). The President's Executive Order (EO) 21 mandated DOE to formulate a Policy and Administrative Framework for OSW in April 2023. The DoE subsequently issued the Implementing Guidelines through its Department Circular, mandating permitting agencies to identify and submit a complete list of appropriate permits and clearances for DOE's review and integration in the Energy Virtual One-Stop Shop (EVOSS). This reform is a strong indication for the Government's commitment to develop the OSW resources: by putting the DOE in a coordinating role, it has accelerated the regulatory development process that could have been slow and inconsistent if left to individual permitting agencies.

48. **Expected result:** An increase in electricity generation capacity (in MW) of solar, and onshore and offshore wind auctioned annually through the Green Energy Auction Program (GEAP) from 0 MW in 2022 to [X] in 2025 (RI 4). [targets will be discussed with the DOE].



Create more green jobs

49. **A system of certification for green jobs will align incentives for firms to make the climate transition.** Recognizing the need to train and certify workers for jobs that produce goods and services that contribute to a green transition of the economy. The Philippines passed the Philippine Green Jobs Act (Republic Act No. 10771) in 2016. The Green Jobs Act mandated the CCC, in consultation with relevant agencies, to develop and administer appropriate standards for the assessment and certification of green goods and services, and green technologies and practices for the purpose of regulating incentives and ensuring green jobs.¹¹ This reform will operationalize the Green Jobs Act and enable a scaled, rapid, and just transition to a green economy in the Philippines. Women in the Philippines can benefit from growing green sectors; however, there is limited information available about the number of women actively working in green jobs. The lack of data about female professionals and workers with green skills and competencies hinders the expansion of the green economy in the Philippines (see also Annex 5).

50. ***PA 5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners' Resolution [X] adopting the Technical Guidelines for Green Jobs Certification.***

51. **The JMC establishes inter-agency collaboration arrangements and clarifies the roles of government agencies in the process of green jobs certification, availing of incentives, and delivering support programs.** To implement the Green Jobs Act of 2016 and align fiscal incentives with a just transition inclusive of SMEs, the CCC, Department of Labor and Employment (DOLE), Department of Environment and Natural Resources (DENR), and Department of Finance (DOF) will jointly issue the JMC. A Green Jobs Interagency Technical Working Group (ITWG)¹² provides oversight of the implementation of the agencies' mandates to ensure efficient and effective fulfillment of their roles. As mandated by the Act and its IRR, the CCC will rely on Technical Guidelines to set the procedures for the green jobs certification, criteria, requirements, thresholds, including application, evaluation, processing, and issuance of green jobs certificate to business enterprises. It will also ensure interoperability between the Sustainable Finance Taxonomy for the financial sector, economic activities and incentives and improve efficiency in the use of fiscal incentives.

52. **Expected result:** Increase in the cumulative green jobs supported with incentives under the Green Jobs Act, jobholders disaggregated by sex, from 0 in 2023 to 4,000 in 2025 (RI 6). [result to be confirmed after discussions with the Technical Working Group on Green Job Certification]

Direct more investment to green activities and services

53. **Rationale: There is significant need and opportunity to deepen financial markets to mobilize private financing to support a green economic recovery and growth.** The development of green and sustainable financial markets can play a central role for the Philippines in facilitating investments needed for a transition toward more sustainable economic growth trajectory. There is an accelerating global trend of

¹¹ The Green Jobs Act defines green jobs as employment that contributes to preserving or restoring the quality of the environment, covering a broad set of sectors including, but not exclusively, jobs that help protect ecosystems and biodiversity, reduce energy, materials and water consumption, decarbonize the economy, and minimize or avoid generation of waste and pollution.

¹² The Green Jobs ITWG, created by the JMC, includes representatives of the relevant agencies (CCC, DOLE, DOF, DENR, TESDA, Department of Science and Technology (DOST), Department of Trade and Industry (DTI)).



investors seeking green investment opportunities. However, domestic sustainable financial markets remain relatively under-developed and the Philippines has so far not attracted such foreign investments at scale.¹³ A marked gap in climate-related information is identified as among the most important institutional barriers hampering investments in sustainability.¹⁴ This challenge stems from a lack of definition of green and sustainable assets, which make it difficult for financial institutions to identify green assets and projects, adding to increased uncertainty and heightened greenwashing risks.

54. ***PA 6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum Circular [X].***

55. **To address the lack of clear standards and definitions of green and sustainable assets, the FSF,¹⁵ an interagency initiative led by the BSP, has developed a sustainable finance taxonomy framework**, which will provide a common standard and classification of green assets to facilitate private sector investments in green assets through capital markets and by financial institutions. The framework focuses primarily on the objectives of climate change mitigation and climate change adaptation,¹⁶ and other environmental and social considerations could also be considered through additional screening based on the ‘do no significant harm’ principle. The framework ensures that an economic activity makes a material positive contribution to an objective and avoids harming other sustainability objectives. The PA consists of issuance of circulars mandating the sustainable finance taxonomy framework by BSP and SEC.

56. **Expected result:** Increase in sustainability-related lending (e.g., loans to promote Renewable Energy and Energy Efficiency) by Domestic Systemically Important Banks (D-SIBs) from PHP 232 billion (or US\$ 4.3 billion) in 2022 to PHP 255 billion (or US\$ 4.7 billion) by 2025 (RI 7).

Pillar 2. Protect the environment and improve climate resilience

Enhance plastic waste reduction, recovery, and recycling

57. **Managing plastic waste is an important development challenge in the Philippines.** The Philippines, together with China, Indonesia, Thailand, and Vietnam, account for 55 to 60 percent of plastic waste entering the ocean. A reduction in the production of plastics and better management of waste is expected to benefit both climate change mitigation and adaptation. Throughout their lifecycle, plastics emit 3.4 percent of global GHG emissions.²⁵ Moreover, plastic waste can clog urban canals and drainage, exacerbating floods during extreme events. The abundance of plastic debris leads to a faster and denser blockage and will lead to a more sudden backwater increase.¹⁷

58. **The Government set an ambitious vision¹⁸ for plastic waste reduction, recovery, and recycling, relying on an EPR mechanism.** The EPR Law and its IRRs (supported by the first DPL) requires enterprises that generate plastic packing waste to manage it throughout its lifecycle in either its post-consumer or its end-of-life stage. The reform mandates firms to establish phase-in EPR programs with measures to efficiently

¹³ Only US\$2.8 billion (0.8 percent of GDP) was raised through green corporate bonds and syndicated loans between 2018-21.

¹⁴ About 70 percent of surveyed banks and institutions in the Philippines cited the limited availability and complexity of climate-related information as core challenges for sustainable investing.

¹⁵ The FSF is chaired by the BSP and consists of the SEC, the IC, and the Philippines Deposit Insurance Corporation.

¹⁶ Biodiversity and circular economy, as well as potential social objectives could be added in future iterations.

¹⁷ A study conducted in a highly polluted urban area in Indonesia observed that plastics can cause as much as 1 meter of additional water level increase in heavy rains within the first hour.

¹⁸ “Zero waste to Philippine waters by 2040”



manage plastic waste: reduced production, importation, supply, or use of plastic packaging deemed low in reusability, recyclability or retrievability through recovery and diversion scheme. Picking recyclables from municipal waste, dumpsites, or landfills Waste sorting is often done by informal workers and women are overrepresented (see also Annex 5). The programs are therefore also required to have a component on gender equality. The mechanism compels producers to recover up to 80 percent of their plastic packaging waste by 2028. The reform facilitates implementation of the National Plan of Actions,¹⁹ which includes EPR as a measure to reduce waste, and complements the LGUs' ban or regulating the use of plastic bags.

59. ***PA 7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has instructed Obligated Enterprises²⁰ to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].***

60. **The proposed compliance manual sets the standards for registration of participating bodies in the EPR Programs and the system for compliance monitoring, evaluation, and enforcement.** This is an important building block to implement the EPR Law (supported by DPL 1). The target participants include OE, Collectives, and Producer Responsibility Organization (PRO). It will also include requirements for gender equality. The Bank team is supporting the drafting of this manual, but there is a risk that this manual will not have been adopted by the time of the Decision Review meeting of this operation (end-February 2024). To manage this, the Bank team and DENR are evaluating fallback options to support the EPR Act. Alternative DPL reforms include: i) establishment of a registry system for submission of EPR Programs, which could streamline the registration process, improve data accuracy and enhance the transparency of waste recovery; ii) establishment of EPR Management Office to support within DENR to strengthen implementation, which will clarify the role of national and subnational agencies in monitoring and evaluation of the compliance and reporting of EPR program, and define functions of National Ecological Center (NEC), the Environmental Management Bureau (EMB) Central and Regional Offices to facilitate EPR partnerships with LGUs' waste management program; or iii) adoption of the Single-Use Plastics Roadmap, which provides clear steps for plastic waste reduction including the EPR (pending a formal issuance to guide the implementation).

61. **Expected result:** Recovery of 40 percent, by amount, of plastic packaging introduced into the market by OEs, Collectives, and PROs by 2025 (RI 8). The reform is also expected to have a positive effect on women's involvement and respective working conditions in the plastic sector. RI 9 captures the commitment to increase the share of submitted EPR implementation programs with component on gender equality to 5 percent. Such component will include specifications around better working conditions for women and targeted measures to improve their economic opportunities in the sector.

Promote green transport

62. **The GOP recognizes electrification of transport as an important pathway for faster transition to a low-carbon economy.** The transportation sector is the largest source of air pollution and energy-related GHG emissions in the Philippines and rapid growth in the number of vehicles is expected to cause GHG emissions to more than quadruple by 2050.²¹ The 2022 EVIDA and its IRRs (supported by the first DPL) are supporting this goal through *inter alia* providing an enabling environment for the development of EVs and promoting and supporting innovation in and use of clean, sustainable, and efficient energy. The Act and IRR have

¹⁹ National Plan of Actions for the Prevention, Reduction and Management of Marine Litter (May 2021)

²⁰ These are large enterprises whose total asset value exceeds PHP 100 million (US\$ 1.7 million) and that generate packaging waste.

²¹ World Bank. 2022. Philippines Country Climate and Development Report. Washington: World Bank.



provisions for addressing multiple supply and demand side constraints through use of (i) fiscal and non-fiscal incentives to bring down the cost of acquisition of EVs and incentivizing their use; and (ii) mandates to increase the share of EVs in the corporate and government fleets to at least 5 percent and (iii) directives to ensure availability of EV Charging Stations at specified public and private locations.

63. **To implement the EVIDA the government formulated the CREVI, published in April 2023.** This roadmap had set out a target of 10 percent EV purchase for government from 2023 to 2030 and targets only EV purchases from 2030 onwards, along with targets for adoption of EVs in transport fleets under other categories. An issuance from the President is planned to direct (relevant agencies to expedite) achievement of the targets set out in CREVI. This is targeted to be issued in 2024, and implemented by 2025 or 2026.

64. ***PA 8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of EVs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].***

65. **To achieve the overall goal of at least 5 percent share of EVs in the Government fleet envisaged under EVIDA, the DOE will issue an order requiring and enabling the government agencies to buy a specified percentage of EVs in their new vehicle purchases.** A clear commitment and action from the government to adopt EVs for its own use is expected to have a substantive demonstration effect as well as add to the acceptability of similar EV share mandates for the fleets in other major transport segments, e.g., corporate, public transport, tourism. It is also expected to incentivize investments in complementary services (such as charging stations) that will further catalyze the private adoption of EVs.

66. **Expected Result:** Increase in the share of EVs in the annual purchases of new cars by National Government Agencies (NGAs) from less than 1 percent in 2022 to at least 10 percent by 2025 (RI 10). In CY 2023, EVs accounted for 593 of the 1,907 new cars purchased by various NGAs.

Encourage more production and consumption of green goods and services through public procurement

67. **GPP Roadmap based on the review by the GPPB-Technical Support Office (GPPB-TSO) from 2020 to 2022.** While GPP can leverage public procurement to attain the government's sustainable development goals, based on the share of total government spending, GPP products only accounted for 0.14 percent and 0.4 percent in 2020, and 2021. Initial steps towards expanding the scope of the Government's GPP have been made by the GPPB through GPPB Resolution No. 08-2022 by establishing and enforcing a systematic monitoring system and a regular reporting on the implementation of the prioritized common use supplies and equipment (CSE) and non-CSE items (supported by the first DPL).

68. ***PA 9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, Information and Communication Technology (ICT), food and catering services, training facilities/hotels/venues, and motor vehicles.***

69. **To further incentivize the procurement of green goods, GPPB will issue a Resolution adopting at least five product categories,** that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles [the final list of products is yet to be determined]. The adoption of these categories is based on market readiness, environmental impact, cost implications, practicability, support to Government environmental objectives, and support to the local economy. Green technical



specifications developed for these product categories would continue to address key environmental impacts and support the enforcement of sector policies relevant for sustainable development such as energy, water and material efficiency, waste reduction, pollution and emission prevention including climate change mitigation, greening the supply chains, among others. These specifications would include national standards regulating emissions of harmful substances for vehicles, energy efficiency ratings, having environmental policy for service suppliers, eliminating use of non-essential disposable products like single-use plastics and utensils, and use of recycled materials where possible. The GPP reform would also further be strengthened with the Government's plan of using life cycle cost (LCC)²² in procurement planning and contract management for goods and infrastructure projects through the development and issuance of a manual on technical specifications and costing using LCC for goods and infrastructure projects with the view of introducing LCC in the evaluation or selection criteria through the amendment of the procurement law.

70. **Expected result:** Expansion of the GPP, indicated by an increase in the share of 10 mandatory non-CSEs from 0 percent in 2022 to at least 40 percent in 2025 (RI 11).

Protect budget and farmers from climate-related contingent liabilities

71. **The Philippines' agriculture sector is vulnerable to climate change; it employs more than 10 million people, the majority of whom have limited financing to recover after frequent climate shocks, this affects poverty, economic growth, jobs, and food security.** Climate-related disasters are the main source of losses for Filipino farmers²³, with a disproportionate impact on the most vulnerable. Informal lending is one of the most common sources of funding,²⁴ and, in absence of adequate insurance, is a usual but expensive fallback option for farmers affected by climate disasters. Despite growing subsidies from the government, as of 2022, only one third of farmers had agricultural insurance; however, payouts for the insured are insufficient often even to cover the cost of input. For the past 45 years, agricultural insurance has been provided by a state-owned Philippine Crop Insurance Corporation (PCIC), which is inefficient and ineffective; it requires major improvements e.g., in how it manages risks.²⁵

72. **The government has commenced reforms to agricultural insurance provision for Filipino farmers.** They aim to increase the value for money of government subsidies and protect the budget against climate-related shocks,²⁶ improve adequacy and quality of insurance against climate disasters, and strengthen PCIC. By bringing PCIC under supervision of the Insurance Commission (IC) the government targeted its risk management and solvency (supported by the first DPL).

73. ***PA 10. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.***

²² The life cycle perspective, one of the critical approaches introduced in green procurement, represents a holistic approach that allocates life cycle management tools to assist decision-making at development and project stages, including sustainable product development, production, green procurement, and final disposal.

²³ For rice farmers, for instance, losses from droughts, floods and typhoons account for 67 percent of total losses (World Bank, 2019, Agricultural insurance in the Philippines study).

²⁴ <https://pdfs.semanticscholar.org/d659/9680126f2e5a688bb1817db53eee5cd37df5.pdf>

²⁵ PCIC has accumulated US\$ 1.52 billion liabilities in 2021, exposed to catastrophic risk, with almost no reinsurance (World Bank, 2022, Agricultural Insurance in the Philippines technical report)

²⁶ In 2015-17, the government had already spent over 4 percent of national budget on disaster response and reconstruction.



74. **Under this DPL, the government has committed to revise the PCIC Charter.** This Charter was last updated in 1995, it is not in line with best practices and has gaps including: the range of products, targeting of premium subsidies, risk management (e.g., reinsurance) requirements and other PCIC functions, and the policy objectives of insurance cover (e.g., social protection, protecting growth and facilitating access to credit). Revision of the Charter is crucial to enable and set out the right direction for reforms.

75. **Expected result:** Increased financial resilience of PCIC measured by its compliance with IC regulations by 2025 from non-compliance in 2022 (RI 12). The reforms are expected to benefit all farmers since they aim to ensure that farmers, lenders, and other stakeholders can rely on adequate payouts following climate disasters, improve regulatory oversight, reduce risk to the public budget, and better target government support aided by the completion of the Registry System for Basic Sectors in Agriculture (RSBSA) that is gender-disaggregated and accurately farm georeferenced. The reforms will allow to provide incentives through insurance towards broader policy objectives such as sustainable farming or female farm ownership.

76. **Analytical underpinnings for the supported reforms in this DPL are summarized in Annex 6.**

4.3. LINK TO CPF, OTHER BANK OPERATIONS AND THE WBG STRATEGY

77. **The reforms supported by the DPL series are well aligned with the 2019–2023 CPF for the Philippines and the WBG goals of ending extreme poverty and promoting shared prosperity on a livable planet.** They will contribute to the development objectives of the CPF; namely 5) Promote regulatory reforms to enhance competitiveness; 6) Improved efficiency of public service sectors in selected areas; 7) Improved income opportunities in agriculture; and 10) Increased resilience to natural disasters and climate change.

78. **This DPL series builds on previous operations and analytics and will be complemented by future ones to maximize development impact.** It builds on the completed DPL series on (i) *Promoting Competitiveness and Enhancing Resilience to Natural Disasters*, focused on promoting competitiveness and building resilience, (ii) the *Financial Sector Reform DPL series*, focused on increasing financial sector stability and resilience, financial inclusion and catalyzing climate and disaster risk finance, and complements the *First Digital Transformation DPL*, focused on strengthening long-term foundations for equitable growth. It was informed by WBG's core diagnostics, including the *Philippines CCDD* and other analytics, and is aligned with the *Philippines Country Gender Action Plan FY2020-2024* priorities addressing gender gaps in labor markets. In turn, this DPL series will be complemented by the *Second Digital Transformation DPL (FY24)*, which will support the implementation of the PSA reform in the aviation sector, a *Climate Change and Energy Transition DPL series (FY 25)* that will extend the energy and EV reforms into new areas, such as energy efficiency and the Jeepney (bus) market. Further, a future IPF focusing on building smart power transmission lines will address non-policy constraints on the adoption of RE.

79. **This program is aligned with the goals of the Paris Agreement and the Philippines' pathway towards low GHG emissions and climate-resilient development.** The operation is consistent with the Philippines' commitments to the 2021 Nationally Determined Contributions, the 2011 – 2028 National Climate Change Action Plan, the National Adaptation Plan (NAP), as well as the priorities to promote low-carbon, climate and ecosystem-resilient growth outlined in the Philippine Development Plan (PDP) 2023–2028. On mitigation, all PAs except 1 (PSA amendment) and 2 (PPPs) are not likely to cause a significant increase in GHG emissions. While PAs 1 and 2 could spur greater investment in infrastructure and potentially cause an increase in GHG emissions, they are not likely to introduce or reinforce significant and persistent barriers to transition to the Philippines' low-GHG emissions development pathways. On adaptation and resilience, risks from climate hazards are not likely to have an adverse effect on most PAs. While the



contributions of PAs 1 (PSA amendment), 2 and 3 (PPPs) and 10 (crop insurance) to the Development Objectives could potentially be impacted by climate risks, the design of the PAs reduce risks to an acceptable level, considering climate adaptation good practices applicable to the Philippines' context (Annex 6).

4.4. CONSULTATIONS AND COLLABORATION WITH DEVELOPMENT PARTNERS

80. **The GOP has actively consulted with key stakeholders in the formulation of policy actions supported by this operation.** The tasked working groups and commissions have reached out to key implementing agencies during the process of drafting. Once an advanced draft was ready, the lead agency provided open access of updates and modified drafts through the agency websites, social media pages of agencies, with clear instructions on how and where to send comments and register for stakeholder meetings.

81. **The Bank is collaborating with development partners to maximize synergies and limit overlap.** This includes the ADB (PA 1), International Maritime Organization for shipping (PA 1), USAID (PAs 2, 3, and 4), UNDP and United Nations Office for Project Services (UNOPS) (PA 7).

5. OTHER DESIGN AND APPRAISAL ISSUES

5.1. POVERTY AND SOCIAL IMPACT

82. **The proposed PAs in this second DPO will generally have positive impacts on poverty and inequality reduction.** The reforms will affect the income distribution through two main channels: first, changes in prices in goods and services will affect household incomes, and second, transformations in the labor market will affect workers—both via transitory churning and via structural change in the long run. Some of the proposed PAs will lead to short term increase in poverty and thus complementary interventions will be needed to ensure that the long-term welfare gains, especially in lower income households, are attained. The analysis below is preliminary. Additional analyses will be done to bring in evidence on these impacts.

83. **The PAs under Pillar 1 are expected to increase investments in public service sectors, RE and accelerate the development of green jobs in the labor market.** This is envisioned to be achieved by loosening restrictions on the inflow of FDI and by removing anti-business provisions to promote public-private partnerships in infrastructure development. The influx of investments is expected to boost growth and create more jobs—green, or otherwise—and to decrease prices of goods and services through increased competition and technical efficiency. The reforms may then lead to increased economy-wide productivity, which can lead to increased wages, household incomes and standards of living.

84. **PA 1 (PSA), and PAs 2 and 3 (PPPs) will likely lead to a significant positive effect on poverty and inequality.** This will come from improved business conditions that will encourage foreign and domestic investment, job creation, and technology upgrading. The opening up of the domestic shipping sector will ensue efficiency gains on the movement of goods and services and result to lower prices.

85. **PA 4 (RE) will likely have positive poverty and distributional benefits.** The jobs generated and potential decrease in electricity prices in the long run made possible by the influx of investments on OSW will reduce poverty and inequality. RE investment multipliers with respect to GDP growth are found to be systematically higher than the fossil fuel energy investment multiplier at the short and long-term horizons as clean energy spending shows higher labor intensity than fossil fuel spending, and as RE investment tends to



induce more domestic spending, for example, upgrading the electrical grid.²⁷

86. **PA 5 and 6 (Green Jobs, Sustainable Finance Taxonomy) will likely have positive impacts on poverty as these reforms are expected to boost employment.** The fiscal incentives support programs to SMEs are crucial to cushion the possible transitory effects such as job loss and increase in product prices.

87. **PA 7 (EPR) may have significant and negative effect in the short term but with likely long-term benefits.** The affected firms' shift may cause short-term adjustments in production processes that can possibly lead to increased prices of products, or job losses. The plastics industry can also be affected. The Philippine Plastics Industry Association, Inc. (PIIA) estimates that around 600,000 workers are part of the industry either involved directly in the production of plastic products or through other upstream and downstream industries. In the context of shifting to green jobs in the long run, recent estimates point to a potential increase of around 4 million more jobs compared to a business-as-usual scenario where there are no active policies meant to promote the shift towards a greener economy.²⁸

88. **PA 8 (EVs) has no direct impact on poverty and inequality.** The government's commitment to action in adopting EVs will eventually lead to wider acceptability and adoption of EV.

89. **PA 9 (green procurement) will have negligible negative short-run effects but can lead to positive long-term effects if green industries can be supported and developed.** The pool of eligible firms that supply products and services that can satisfy GPP requirements may be shallow and thus will have minimal impact on procurement policies of the government. At worst, the greener products and services supplied may be more expensive due to specialized technology. In the long term, provided that emerging technologies can make greener alternatives more cost-competitive, firms can enjoy the twin benefits of environmentally friendly products at lower prices. The government and households will gain if this transition takes place. Moreover, there is a potential to create 4 million additional jobs if the shift towards a greener economy is supported. If improvements in green procurement contribute towards supporting this shift towards a green economy, then lower prices, higher wages, and productivity through the development of specialized skills will have the potential to increase household incomes.

90. **PA 10 (crop insurance) will likely have a significant positive impact on poverty and inequality.** The reform, meant to ensure fiscal soundness of the PCIC, may lead to increased efficiency in operations that will ensure faster and more adequate payouts to farmers in times of disaster.

5.2. ENVIRONMENTAL, FORESTS, AND OTHER NATURAL RESOURCE ASPECTS

91. **A preliminary assessment suggests that the proposed DPL is unlikely to cause significant adverse effects on the environment, forests, or other natural resources.**

92. **PA 1 (PSA) and 2 and 3 (PPPs) are likely to have no significant positive or negative environmental effect.** The reforms aim to boost investment in public infrastructure including domestic shipping, air transport, land transport, express parcel and delivery, telecommunications are expected to increase the environmental footprint. The development of these infrastructure services will lead to more use of land and

²⁷ Batini, N. *et al* (2021). "Building Back Better: How Big Are Green Spending Multipliers?", IMF Working Paper No. 2021/087.

<https://www.imf.org/en/Publications/WP/Issues/2021/03/19/Building-Back-Better-How-Big-Are-Green-Spending-Multipliers-50264>

²⁸ Abrigo, M., D. Ortiz, A. Orbeta, and G. Llanto. 2021. "Greening the Philippine employment projections model: New estimates and policy options." PIDS Discussion Paper Series No.2021-26. Quezon City: Philippine Institute for Development Studies.



natural resources and emission including GHG. Potential key environmental impacts include marine and atmospheric pollution, marine litter, and biodiversity disturbance. However, the entry of foreign investment will enable the acquisition of new vessels, promote the transfer of modern technology and management methods, which help address the negative impacts and increase the fuel efficiency.²⁹ The current PPP framework³⁰ requires that the project cost is sufficient to achieve technical requirements to meet the environmental standards. The government's policy framework provides an adequate system to address these adverse environmental effects especially through the environmental impact assessment process, including proper planning and siting of the infrastructure. Moreover, MARINA has issued several advisories and circulars (2020-06, 2021-05, 2022-33, 2023-20) to nudge emissions reductions among shipping companies. Lifting of foreign equity restrictions would likely facilitate compliance with these advisories and circulars.

93. **PAs 4 (RE), 5 (Green Jobs) and 6 (Sustainable Finance Taxonomy) will likely lead to positive environmental effects.** PA 4 aims to address critical binding constraint to generate more investment into in OSW energy is expected to lead to scaled up RE and reduction of dependence on coal-fire power generation which will result in reduced GHG, air pollutant and lowered respiratory health. There is a risk of bird collisions with OSW turbines particularly migratory species. Proper site selection and monitoring can help minimize this impact. PA 5 to establish the inter-agency collaboration mechanism of the Green Jobs Act and PA 6 on the Sustainable Finance Taxonomy framework will lead to positive environmental effects.

94. **PA 7 (EPR program) will lead to significant positive effects.** The policy will guide compliance monitoring and evaluation of the EPR program submitted by OEs, in turn providing clarity for information disclosure and achievement of plastic waste recovery target. It is expected to promote greater waste reduction, reuse, and recycling, whereby less plastic waste will leak to the environment and to the oceans.

95. **PA 8 (EVs) will bring positive environmental benefits.** The transition to low-carbon electrified transport will result in lower air pollution particularly in urban areas and thereby improved health benefit. It is also expected to reduce GHG emissions.

96. **PA 9 (green procurement) will potentially bring positive environmental effects.** It contributes to address pollution issues including waste, soil, water, and air pollution, GHG emissions and energy and resource efficiency.

97. **PA 10 (crop insurance) is not expected to have significant environmental effects.** Agricultural insurance likely enables farmers to apply improved seeds, more fertilizers, and plant protection chemicals, which would lead to negative environmental effects. However, where agricultural insurance is supported with education for farmers in soil and water conservation measures, insurance motivates farmers to move into crops better suited to the local environment. The Bank's Philippine Rural Development Project Scale-up is providing support for agriculture insurance and promotion of improved inputs, climate-smart technologies, and innovations that are expected to reduce adverse environmental effects.

98. **The Philippines has an adequate policy framework to address potential environmental risk and impact.** The Philippine Environmental Impact Statement System (PEISS)³¹ and its IRRs, the DAO 2003-30 to guide PEISS implementation, requires the compliance of every project that significantly affects the quality of

²⁹ For example, Brucal *et al.* (2019) "Good for the environment, good for business: Foreign acquisitions and energy intensity", show how foreign ownership in Indonesia reduced energy intensity of sectors. The overall impact will likely depend on the environmental protection framework of the Philippines.

³⁰ This is in the current BOT Law and its IRRs. The PPP Code will repeal the BOT Law, but the team expects that the new IRRs will include similar provisions.

³¹ Presidential Decree 1586.



the environment. The PEISS requires the identification of a wide range of measures to avoid, minimize, mitigate, and compensate adverse impacts caused by a project, including alternatives to project location, technology, and resources. It also requires including mitigation measures monitoring plans and corresponding institutional management, and financial arrangements for implementation. All projects that can potentially cause any form of significant negative impact to the environment are regarded as environmentally critical and are therefore required to secure an Environmental Compliance Certificate (ECC), which are subject to monitoring, validation, and evaluation/audit for performance assessment.

5.3. PFM, DISBURSEMENT AND AUDITING ASPECTS

99. **Public Financial Management (PFM) System:**³² The GOP has significantly improved its PFM at the national level over the past decade. The 2016 Public Expenditure and Financial Accountability (PEFA) assessment showed improvement in three out of the seven PFM pillars (transparency of public finances, policy-based budgeting and asset and liability management) compared to the 2010 assessment. Reforms in the management of budget resources continue to be undertaken by the GOP under the PFM reform program. There is a *Unified Accounts Code Structure* in budgeting, accounting, and reporting. A Treasury Single Account has been implemented and the Bureau of Treasury (BTr) is expanding its coverage. Budget preparation and cash management have been strengthened, and the Budget and Treasury Management System (BTMS) has been adopted as the basis for a single national government financial information system.³³ The national government budget is made available to the public on the Department of Budget and Management (DBM) website. Public procurement systems have strengthened over the past decades following the adoption of the public procurement Republic Act (RA) 9184 in January 2003. An assessment of the country's public procurement using the Methodology for Assessing Procurement Systems (MAPS) was completed in 2021 and the recommendations are guiding the GoP to strengthen its procurement system. The Philippine Government Electronic Procurement System (PhilGEPS) is undergoing modernization with the virtual store and merchants' registry already in place. The electronic bidding feature, which includes an online platform for the creation of the annual procurement plan, purchase requests, e-bulletin, e-bid submission, online conduct of post-qualification, online purchase order/contract management, and online filing of requests for reconsideration and protest, is under implementation with pioneer agencies. The eMarketplace will be piloted this year.

100. **Foreign Exchange (FOREX) Control Environment:** BSP's 2020 through 2022 audited financial statements have unqualified (clean) audit opinions and do not raise any major concerns about the FOREX control environment. The audit opinion on 2022 BSP's financial statements contains an "Emphasis of Matter" paragraph related to the BSP's position that having considered its responsibilities in the formulation and conduct of effective monetary policy, it is appropriate to differ, in some respects, from the adoption of the relevant Philippine Financial Reporting Standards (PFRS) and Philippine Accounting Standards (PAS). The opinion of the auditor is not modified in respect to this matter.

101. **Fiduciary Risk:** Based on the assessment of the PFM Systems and FOREX control environment, fiduciary risk is moderate. There were no major qualifications on the DOF annual financial statements in

³² Annex 9.

³³ However, the use, rollout and further development of the BTMS was indefinitely suspended effective August 1, 2021 in view of the changes in the strategic direction of the envisioned IFMIS under the PFM Reform Roadmap. The PFM Committee Resolution No. 1-2022 dated December 19, 2022, documented the initial decision of lifting the suspension. Further, in accordance with Executive Order No. 29, s. 2023, the PFM Committee continuously ensures the alignment of the BTMS in the overall strategic direction of IFMIS through its efforts of conducting policy review of key PFM processes and development of PFM Reforms Roadmap, among others.



recent years, and most matters raised in previous years' audit reports were fully or partly addressed.

102. **Disbursement and Auditing Arrangements:** Upon withdrawal, the proceeds of the DPL will be deposited in US dollars in a dedicated deposit account at the BSP, forming part of the country's official FOREX reserves. The GOP will transfer funds from the US dollar account to the treasury single account in local currency (pesos) that will be used to pay government's budget expenditure. Within 30 days of the disbursement of DPL amount, the GoP will confirm receipt of these funds to the Bank. Disbursements of the loan will not be linked to any specific purchases, and no procurement requirements must be satisfied. The DPL should not be used for expenditure on the negative list as per the General Conditions for IBRD Financing dated December 15, 2018 (revised on August 1, 2020, April 1, 2021 and January 1, 2022). Should this be the case, the Bank will seek for a refund from the GoP, which will subsequently be cancelled from the loan. Given the moderate fiduciary risk, there will be no requirement for the audit of the DPL.

5.4. MONITORING, EVALUATION AND ACCOUNTABILITY

103. **The DOF is the main WBG counterpart for budget support operations, including the proposed operation.** Policy dialogue and monitoring and evaluation of the program supported by this DPL series also extend to the DOE, Anti-Red Tape Authority, Department of Transportation, PPP Center, NEDA, DTI, GPPB, DENR (EMB), DOLE, BSP, Department of Agriculture, CCC, and BTr.

104. **Indicators selected to monitor progress toward achievement of the PDOs reflect defined areas of action and correspond to the expected outcomes of the PAs.** They include an appropriate mix of specific qualitative and quantified targets, which are attributable, relevant, and time-bound, and are expected to be sufficient to enable effective monitoring of the project's achievement of the PDO. The Pillars and result indicators in the policy framework are aligned with government priorities. Since the policy targets are aligned with regular programs of the relevant agencies, their reporting mechanisms will be used.

105. **Grievance Redress.** Communities and individuals who believe that they are adversely affected by specific country policies supported as PAs or tranche release conditions under a World Bank Development Policy Financing may submit complaints to the responsible country authorities, appropriate local/national grievance mechanisms, or the Bank's Grievance Redress Service (GRS). The GRS ensures that complaints received are promptly reviewed to address pertinent concerns. Project affected communities and individuals may submit their complaint to the Bank's independent Accountability Mechanism (AM). The AM houses the Inspection Panel, which determines whether harm occurred, or could occur, as a result of Bank non-compliance with its policies and procedures, and the Dispute Resolution Service, which provides communities and borrowers with the opportunity to address complaints through dispute resolution. Complaints may be submitted at any time after concerns have been brought directly to the World Bank's attention, and Bank Management has been given an opportunity to respond. For information on how to submit complaints to the World Bank's corporate Grievance Redress Service (GRS), please visit <https://accountability.worldbank.org>.

6. SUMMARY OF RISKS AND MITIGATION

106. **The overall risk assessment is moderate, and the key risks are institutional capacity for implementation and sustainability and stakeholder risk.**



107. **The institutional capacity for implementation and sustainability risk is substantial.** This operation proposes reforms that require inter-agency coordination, making their success dependent on institutional capacity. For example, NEDA leads the design of the IRRs for the PSA reform (PA 1), yet its successful implementation implies harmonization of definitions, and consistency of provisions, across the 17 sector regulators whose mandate will be affected by the reform. The EPR Law (PA 7) and EVIDA (PA 8) reforms also require substantial inter-agency coordination and capacity and institution building of DENR (PA 7). The Bank is providing technical assistance to support the agencies involved in these reforms to mitigate this risk.

108. **Stakeholder risk is substantial.** There is a risk that the reform to open public service sectors to foreign investment (PA 1) will face resistance from domestic incumbents, interested in preserving the status quo. Private interest groups may attempt to derail the reform drive to resist foreign competition in liberalized public service sectors through the judiciary, for example, by introducing legal challenges to either keep the telecom sector under the label of *public utilities* or preserve the domestic shipping lines under the category of *critical infrastructure*, appealing to concerns of national security. Despite the consultations held for the EPR Law (PA 7) and the EVIDA (PA 8) reforms held, these are complex reforms with many private sector stakeholders. To mitigate these risks, the laws foresee incentives to encourage participation. It will be important that the central government agencies, DOF and NEDA, play a coordinating and advocacy role to keep the reforms on track. To this effect, the Bank will remain engaged on these reforms, convene, and share knowledge with stakeholders who have shown an interest in removing restrictions in these sectors, and in bringing foreign expertise and capital to boost their performance. In addition, the Bank is providing technical assistance to NEDA, DENR and the DOE in implementing sector regulations.

Table 5: Summary Risk Ratings

Risk Categories	Rating
1. Political and Governance	● Moderate
2. Macroeconomic	● Moderate
3. Sector Strategies and Policies	● Moderate
4. Technical Design of Project or Program	● Moderate
5. Institutional Capacity for Implementation and Sustainability	● Substantial
6. Fiduciary	● Moderate
7. Environment and Social	● Moderate
8. Stakeholders	● Substantial
9. Other	● Low
Overall	● Moderate



ANNEX 1: POLICY AND RESULTS MATRIX

Prior Actions and Triggers		Results		
Prior Actions for DPL 1	Prior Actions for DPL 2	Indicator Name	Baseline	Target
Pillar 1. Accelerate the Economic Recovery and Boost Long-Term Growth				
1. To increase investment in infrastructure services, the Borrower has created the legal framework to open Public Service Sectors ³⁴ to 100 percent foreign ownership through the amendment of the Public Service Act (Commonwealth Act No. 146), as evidenced through the enactment of the Republic Act No. 11659 on March 21, 2022.	1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.	1. Annual average foreign investment in Public Service Sectors (percent of GDP).	0.55 percent of GDP (2017-2022 average)	0.76 percent of GDP (2023-2025 average)
2. To attract private investment in public infrastructure and increase certainty in the PPP framework the Borrower has: (a) amended the Build-Operate-Transfer Law IRRs; and (b) approved the Guidelines and Procedures on Processing PPP Proposals for NEDA Board/ Investment Coordination Committee (ICC) Evaluation and Approval, as evidenced by the Certification of NEDA Board Approval of such Guidelines and Procedures on	2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]	2. Time needed to reach final decision on PPPs by the ICC (Investment Coordination Committee) from receipt of a complete and compliant project proposal (months).	29.9 months (2022)	12 months (2025)

³⁴ “Public Service Sectors” are economic sectors offering certain public services, for general business purposes (e.g., domestic shipping), as per the Public Service Act (CA 146, as amended), Section 13(b).



Prior Actions and Triggers		Results		
November 24, 2022.				
	3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions' transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by [PPP Board Resolution X]	3. Number of PPP project decisions supported by the PDMF to aid the local approving body in assessing whether to pursue the PPP investment activity completed.	[to be added]	[to be added]
3. To increase foreign direct investment in solar and wind energy, the Borrower, through the DOE, has amended Rules and Regulations Implementing the Renewable Energy Act to remove the 40 percent foreign equity cap on exploration, development, utilization and commercialization of natural resources, as evidenced by the DOE Department Circular DC 2022-11-0034.	4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President's Office and the Department of Energy (DoE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.	4. Electricity generation capacity (in MW) of solar, and onshore and offshore wind auctioned annually through the Green Energy Auction Program (GEAP).	0 MW	[to be added]
4. To increase demand for renewable energy, the Borrower, through the DOE, has increased the minimum annual incremental generation required to be sourced from renewable energy resources from 1% to 2.52% starting		5. Share of electricity generation from renewable energy (percent).	22 percent (2021)	28 percent (2025)



Prior Actions and Triggers		Results		
2023 for Mandated Participants, ³⁵ as evidenced by the DOE Department Circular DC2022-09-0030.				
	5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners' Resolution [X] adopting the Technical Guidelines for Green Jobs Certification.	6. Cumulative green jobs supported with incentives under the Green Jobs Act since 2023, jobholders disaggregated by sex.	0 (2022)	4,000 (2025)
	6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum Circular [X].	7. Sustainability-related lending (loans to promote Renewable Energy and Energy Efficiency) by Domestic Systemically Important Banks (D-SIBs) (US\$ billion).	PHP 232 billion (2022)	PHP 255 billion (2025)
Pillar 2. Protect the environment and improve climate resilience				
5. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower has: (a) enacted the	7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment	8. Recovery of plastic packaging as share of amount introduced into the market by Obligated	0 percent (2022)	40 percent (2025)

³⁵ "Mandated Participants" means electric power industry participants which are mandated to comply with the RPS annual requirement which includes entities enumerated in Rule 3, Section 11 of this RPS On-Grid Rules.



Prior Actions and Triggers		Results		
Extended Producer Responsibility Act (Republic Act No. 11898); and (b) through its Department of Environment and Natural Resources (DENR), issued accompanying IRRs, mandating large enterprises to recover up to 80 percent of plastic packaging waste by 2028 and to submit EPR programs describing a component on gender equality.	and Natural Resources, has instructed Obligated Enterprises to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].	Enterprises (OEs), Collectives, and Producer Responsibility Organizations (PROs) (percent). 9. Share of submitted Extended Producers Responsibility (EPR) implementation programs with component on gender equality (percent).	0 percent (2022)	5 percent (2025)
6. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the DOE, has issued IRRs to implement the Republic Act No. 11697, otherwise known as the Electric Vehicle Industry Development Act of 2022.	8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of EVs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].	10. Share of electric vehicles in the annual purchases of new cars by National Government Agencies (percent).	Less than 1 percent (2022)	At least 10 percent (2025)
7. To incentivize public procurement of green goods, the Borrower, through the Government Procurement Policy Board (GPPB) has updated the GPP Roadmap by: (a) providing for a monitoring system based on green tagging; and (b) upgrading of green specifications; through GPPB Resolution No. 08-2022.	9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	11. Share of the 10 non-Common use supplies and equipment (non-CSEs) have become mandatory under the Green Procurement Program (GPP) (percent).	0 percent (2022)	At least 40 percent (2025)
8. To mitigate climate-related disaster	10. To mitigate climate-related disaster	12. Financial resilience of	PCIC is not compliant with	PCIC is compliant with



Prior Actions and Triggers		Results		
risks to the government budget and to insured farmers, the Borrower, through the DOF, has directed the Insurance Commission (IC) to conduct annual examinations of the Philippine Crop Insurance Corporation (PCIC)'s affairs, financial condition, and its method of business, as evidenced by Department Order No. 038-2022 and Circular Letter No. 2022-35.	risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.	Philippine Crop Insurance Corporation (PCIC) measured by compliance with Insurance Commission (IC) regulation.	Insurance Commission regulation (2022)	Insurance Commission regulation (2025)



ANNEX 2: FUND RELATIONS ANNEX

Philippines—Assessment Letter for the Asian Development Bank, the Asian Infrastructure Investment Bank, and the World Bank July 5, 2023

This note provides IMF staff's assessment of the Philippines' macroeconomic conditions, prospects, and policies. It is based on available information as of June 29, 2023, as well as discussions with the authorities during a staff visit in May 2023. This assessment was requested by the Asian Development Bank, Asian Infrastructure Investment Bank, and World Bank in relation to their policy loan operations.

Recent Developments, Outlook, and Risks

1. The economy has recovered strongly, mainly reflecting pent-up domestic demand. Real GDP growth accelerated to 7.6 percent in 2022, as private consumption rebounded strongly following the full reopening of the economy. The Q1 2023 GDP outturn was robust (6.4 percent y/y) and the output gap turned positive. However, growth is expected to moderate to 6.2 percent in 2023 and 5.5 percent in 2024 due to the confluence of global shocks and monetary policy tightening. Weaker demand from the US and Europe will put pressure on the performance of exports, offsetting positive spillovers from China's reopening. On the domestic side, fixed investment will likely be a drag on growth due to subdued demand for commercial real estate and financial tightening in 2023, while private consumption is expected to remain resilient as tight labor markets and the personal income tax cuts boost consumption spending.

2. After peaking in January 2023, headline inflation has gradually slowed in recent months, but core inflation has remained high. Headline inflation eased to 6.1 percent (y/y) in May from 8.7 percent (y/y) in January due to easing fuel and food prices. Core inflation remained elevated at 7.7 percent (y/y) in May driven by services inflation. Supported by the moderation in commodity prices and the tighter monetary policy stance, inflation is expected to average 6.0 percent in 2023 and converge to the target band around the end of this year. The current account deficit is expected to narrow to about 3 percent of GDP in 2023 from 4.4 percent in 2022 mainly due to the decline in commodity prices and China's reopening. Reserves reached a trough of US\$93 billion in September 2022 (from their peak of US\$110 billion in December 2020) but have been rebuilt to US\$101 billion in May 2023, covering about 7.1 months of imports.

3. Risks to the outlook remain tilted to the downside. The main downside risks to growth are persistently high core inflation, capital account pressures and excessive depreciation pressures amid global financial shocks or intensification of regional conflicts, as well as financial vulnerabilities related to higher borrowing costs and balance sheet mismatches. On the other hand, larger positive spillovers from China's reopening could contribute to stronger growth than currently envisaged. Risks to inflation are tilted to the upside, partly due to demands for higher wages.



Macroeconomic Policies

Fiscal Policy

4. **Fiscal consolidation is underway, although largely reflecting automatic stabilizers.** The Medium-Term Fiscal Framework (MTFF), adopted by Congress for the first time in 2022, shows a firm commitment to consolidation. The fiscal deficit narrowed to 7.2 percent of GDP in 2022 from 8.3 percent in 2021, as the revenue-to-GDP ratio recovered to pre-pandemic levels, partly reflecting strong rebound in domestic consumption and higher commodity import prices. The 2023 budget appropriately targets a deficit of 6.1 percent of GDP mainly through overall spending discipline in line with the MTFF objective of reducing the deficit back to the 3 percent of GDP anchor by 2028 and bringing the public debt-to-GDP ratio to less than 60 percent by 2025.

5. **Over the medium-term, fiscal consolidation should be underpinned by both revenue and spending measures.** The authorities are in the process of implementing several tax policies. Additional measures to incentivize investment through cost-based mechanisms, rationalizing VAT exemptions, and encompassing digital services will expedite the consolidation process. Efforts to improve tax administration through digital tax filing and electronic payments have continued. The authorities are exploring options to reform the military and uniformed personnel pension to create fiscal space for economic and social priorities underscored in the 2023–2028 Philippine Development Plan. As fiscal decentralization proceeds, the authorities are working to clarify spending responsibilities with local government units (LGUs) and support LGUs with capacity building. As improved expenditure control and efficiency is critical, the timely passage of the Budget Modernization Bill will help institutionalize the implementation of key public financial management reform initiatives, including the cash budgeting systems.

Monetary Policy

6. **The BSP has hiked the policy rate by a cumulative 425 basis points to 6.25 percent, broadly in line with staff recommendations.** Nonetheless, the continued strong economic performance, robust credit growth, and a potentially large minimum wage hike in the summer continue to pose risks to the inflation outlook. As the Monetary Board decided to pause the tightening cycle at its policy meeting in May, communicating a continued tightening bias ("tighter for longer") until inflation returns to the target band of 2–4 percent will be crucial to anchor exchange rate and inflation expectations. Staff's assessment is that the current monetary stance is tight enough to return inflation to target by early next year as real interest rates rise above the neutral level, provided upside risks do not materialize. The BSP is making good progress on its exit strategy, informed by Fund TA, from liquidity support measures introduced during the pandemic.

Financial Sector Policies

7. **The banking system is well-capitalized, but pockets of vulnerability remain.** The banking sectors' high share of assets in held-to-maturity (HTM) portfolios has helped banks weather the higher interest rates and recent global banking turmoil. However, occupancy rates for commercial real estate have not recovered to pre-pandemic levels and non-performing loans (NPLs) on



residential mortgages have increased following the recent rate hikes by the BSP. As interest rates of mortgages taken out just prior to or during COVID-19 reset, NPLs may increase further but the low share of residential mortgages of banks' loan books should act as a mitigator.¹ As external FX borrowing by corporates has increased in recent years, potential balance sheet mismatches present an additional vulnerability for the banking system, but data gaps prevent a more in-depth assessment. Lastly, the fallout from recent banking turmoil in the US and Switzerland provides a good opportunity to revisit the bank resolution framework. To improve it, the BSP should establish a separate resolution section, as suggested by recent IMF TA, as well as develop a detailed resolution manual and streamline the prompt corrective action framework.

8. The authorities will need to continue to make progress on their agenda to strengthen financial supervision and regulation. The work done by the inter-agency colleges on supervision of conglomerates is welcome though stress testing of corporates could be further expanded. Enhanced coordination among financial regulators as well as a strengthened insolvency regime for corporates would also present major steps forward. The recent rise of digital banks and virtual asset service providers (VASPs) warrants close monitoring. The BSP has implemented a moratorium on new licenses to allow time to develop appropriate regulation which should follow international best practices. Lastly, enhanced Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) effectiveness and completion of the Philippines' Action Plan with the Financial Action task Force (FATF) to exit the FATF grey list as soon as possible are critical to improve the business environment and encourage foreign direct investment.

Macro-Structural Issues

9. The favorable medium-term outlook could be further enhanced by structural reforms to reap the benefits of the demographic dividend and reduce scarring from the pandemic. The ratification of the Regional Comprehensive Economic Partnership and opening up of the economy to foreign investment have improved the business climate. Further progress to reduce infrastructure gaps, deepen financial markets, harness the digital economy, and enhance labor market flexibility will support inclusive growth. The recently established Inter-Agency Committee on Inflation and Market Outlook aims to reduce inflationary pressures through timely liberalization of food imports while strengthening food security through measures to raise agricultural productivity. Inequality remains high, and the ambitious poverty reduction targets outlined in the 2023-2028 Philippine Development Plan underscore the need for further investments in education, health, and social protection schemes. The Maharlika Investment Fund, approved for creation by Senate and House in May, aims to promote socio-economic development by making strategic and profitable investments in key sectors to preserve and enhance the fund's long-term value. Given it is capitalized by public resources, strong governance settings will be important for an effective and transparent use of these resources.

¹ Universal and commercial banks' exposure to both commercial and residential real estate loans is capped at 20 percent of the total loan book, limiting potential spillovers.



10. The authorities are committed to addressing the impacts of climate change and greening the economy. The authorities are currently finalizing the list of Nationally Determined Contribution (NDC) policies and measures that will operationalize the NDC target. The continued budgetary allocations to spending on climate change adaptation and strengthening resilience to natural disasters, with a budget tagging system, are welcome. Financing the NDC target would benefit from the introduction of carbon pricing (including policies to address its distributional implications), and accelerating efforts to incentivize green financing. Additional financial support from development partners and the private sector is essential to meet the authorities' adaptation and mitigation objectives.

IMF Relations

11. The IMF's partnership with the Philippines spans both surveillance and capacity building. The Philippines is on a standard 12-month Article IV consultation cycle. The 2022 Article IV consultation was concluded by the IMF Executive Board on November 23, 2022. The next Article IV consultation mission is expected in September 2023. The IMF continues to provide extensive technical assistance on issues including tax policy and revenue administration, public financial management, financial sector supervision and resolution, debt management and capital market development, macroeconomic forecasting, and statistics.



Philippines: Selected Economic Indicators

Population (2022): 111.6 million

Quota: SDR 2,042.9 millions (0.43 percent of total quota)

Per capita GDP (2022): US\$3,618

Poverty rate \$1.90 a day (2018): 2.7

Main products and exports: electronics, machinery, agriculture products, and business process outsourcing

Key export markets: Hong Kong SAR, Japan, United States, European Union, China, Singapore, and Thailand

	2020	2021	2022	2023 Est.	2024 Proj.
Output					
Real GDP growth (%)	-9.5	5.7	7.6	6.2	5.5
Prices					
Inflation (% annual average)	2.4	3.9	5.8	6.0	3.2
National government finances					
Fiscal balance (% GDP)	-7.4	-8.3	-7.2	-5.8	-4.5
Money and credit					
3-month PHIREF rate (%) 1/	1.3	1.5	5.7	5.7	...
Balance of payments					
Current account (% GDP)	3.2	-1.5	-4.4	-2.8	-2.4
Exchange rate					
REER (% change)	5.6	-0.1	-1.7	...	...

Sources: Philippines authorities; World Bank, World Development Indicators; and IMF staff projections.

1/ Benchmark rate for the peso floating leg of a 3-month interest rate swap.



ANNEX 3: LETTER OF DEVELOPMENT POLICY

[to be added]



ANNEX 4: ENVIRONMENT AND POVERTY/SOCIAL ANALYSIS TABLE

Prior Actions	Significant positive or negative environment effects	Significant poverty, social or distributional effects positive or negative
Pillar 1. Accelerate the economic recovery and boost long-term growth		
1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.	No significant positive or negative environmental effect	Significant positive effect
2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]	No significant or negative environmental effect	Significant positive effect
3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions' transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by [PPP Board Resolution X]	No significant or negative environmental effect	Significant positive effect
4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President's Office and the Department of Energy (DoE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.	Significant positive environmental effect	Significant positive effect
5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners' Resolution [X] adopting the Technical Guidelines for Green Jobs Certification.	Significant positive environmental effect	Likely negative effect in the short term but significant positive long-term effect
6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum Circular [X].	Significant positive environmental effect	No significant effect
Pillar 2. Protect the environment and improve climate resilience		
7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has instructed Obligated Enterprises to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].	Significant positive environmental effect	Significant negative effect in the short term. Possible long-term distributional benefits



8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of Evs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].	Significant positive environmental effect	No significant effect
9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	Significant positive environmental effect	Significant positive long-term effect
10. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.	No significant or negative environmental effect	Significant positive impact



ANNEX 5: COMPARISON OF INDICATIVE TRIGGERS AND PRIOR ACTIONS AND STATUS OF REFORMS FOR DPL 2

Indicative Trigger for DPL 2	Proposed Prior Action for DPL 2	Comment	Status of Reforms (October 30, 2023)
1. To increase investment in infrastructure services, the Borrower, through the NEDA and sector regulators, has approved the implementing regulations to open Public Service Sectors to 100 percent foreign ownership through the adoption of the General IRRs and sector IRRs.	1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.	No change in substance.	On track. General IRRs already approved and published. MARINA Circular finalized; expected to be issued by November 2023.
	2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]	Additional Prior Action. The addition of a law strengthens the matrix. It addresses legal constraints in relation to thresholds, timelines for unsolicited proposal challenges, integration of joint-venture regulations, codification of stronger fiscal risk management and strengthening of PPP Center role in supporting the PPP program and ecosystem	On track. Both Houses of Congress ratified the bicameral conference committee report on the reconciled draft PPP Code of the Philippines on September 27. The PPP Code is expected to be signed into law by end-2023.
2. To increase access to resources for transparent and better prepared PPPs at the local levels, the Borrower, through the Philippines PPP Governing Board, has established a window, with supporting resources, business plan and	3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a	No change in substance. Clarified (i) the action from the Borrower (i.e., update the guidelines rather than establish a window) (ii) instrument and (iii) key reform areas.	On track. Approved by PPP Governing Board on October 2. Final signed version expected by end-2023.



guidelines, within the Project Development and Monitoring Facility (PDMF) for local PPPs through a resolution.	mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions' transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by [PPP Board Resolution X]		
3. To increase foreign direct investment in solar and wind energy, the Borrower has streamlined permitting processes for renewable energy investment through a regulation.	4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President's Office and the Department of Energy (DoE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.	No change in substance. The reform signals the GoP's strong commitment to develop the OSW sector by assigning DoE a coordinating role which is expected to accelerate the regulatory development process, whereas leaving it to individual permitting agencies could lead to an inconsistent process deterring OSW investment. The reform also integrates the permitting processes into the Energy Virtual One Stop Shop (EVOSS) System for a streamlined and efficient permit application and issuance process.	Completed, subject to agreement with DOE. EO 21 was published on April 19, 2023, and DoE Department Circular No. DC2023-06-0020 was issued on June 16, 2023.
4. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Green Jobs Act of 2016 by issuing Green Jobs Guidelines under a Joint Memorandum Circular (JMC).	5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners' Resolution [X] adopting	No change in substance. The reform includes JMC issuance defining the roles of the agencies in the Green Jobs Certification process and the issuance of a Commissioners' Resolution will formally adopt the Technical Guidelines	On track. Signing of JMC expected in November 2023. The CCC Resolution is expected by February 2023.



	the Technical Guidelines for Green Jobs Certification.		
5. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Framework based on international principles, as evidenced through a BSP Circular, a SEC Memorandum Circular, and an IC Circular.	6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum Circular [X].	Small change. The reform does not include the IC circular, reducing its scope. However, the insurance sector accounts for only 7 percent of assets in the financial sector, representing a smaller value than the banking sector (76 percent) and the non-bank, non-insurance financial institutions (17 percent). Further the IC's implementation of the taxonomy guidelines is delayed due to administrative reasons, and they have proved to be engaged in the process notwithstanding, actively participating in the dialog and consultation process.	On track. Consultations expected to be concluded by November 2023, followed by issuance of circulars in January 2024.
6. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has provided guidance requiring EPR Program registration, compliance monitoring and evaluation, including on gender equality, and enforcement, through the issuance of a Department Administrative Order (DAO).	7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has instructed Obligated Enterprises to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].	To be determined. Several options are open. There is a risk that the originally foreseen reform will not be finished by February 2024, but the technical work supported by the Bank is ongoing. Team is exploring other reform options with DENR: (ii) the EPR Registry System; (ii) the establishment of the EPR Project Management Office to increase DENR EPR capacity while the re-organization is being reviewed and approved by the relevant government agencies; and (iii) the Single-Use Plastics Roadmap.	Not yet completed. Timeline will be discussed in meetings with DENR.
7. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on	8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on	No change.	On track. Expected by Q1 2024.



fossil fuels, the Borrower, through the Department of Energy, has published a relevant issuance requiring and enabling the government agencies to buy a specified percentage of EVs in their new vehicle purchases.	fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of EVs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].		
8. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued a Resolution adopting at the very least, five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	No change in substance.	On track. Team is preparing technical support to GPPB on implementation of Resolution. Expected by November 2023.
9. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, will strengthen targeting of premium subsidies, introduce new insurance products appropriate for vulnerable smallholder farmers, and strengthen PCIC coverage and operations, as evidenced by submission to Congress of the amended PCIC Charter.	10. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.	No change.	Completed. Administration version of the bill has been submitted to the Senate in May 2023.



ANNEX 6: DPF PRIOR ACTIONS AND ANALYTICAL UNDERPINNINGS

Prior Actions	Analytical Underpinnings
<i>Pillar 1. Accelerate the economic recovery and boost long-term growth</i>	
1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.	Ongoing technical assistance for NEDA and MARINA. World Bank (2023). “Quantifying the potential impact of a fully implemented PSA amendment” in Services for Development, EAP Economic Update, Fall 2023. WBG. 2022. FDI Screening and National Security Review: International Trends and Lessons of Experience. WBG & OECD. 2022. Product Market Regulations in the Philippines. Global Competition Policy team.
2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]	2020 World Bank PPIAF COVID19 Rapid Response Technical Advisory on PPPs found the need to improve the fiscal commitment and contingent liability management and reporting in PPPs and introduced to GOP the PPP Fiscal Risk Assessment Model (PFRAM).
3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions’ transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by [PPP Board Resolution X]	Ongoing technical assistance for Philippines Support to Local PPPs Based on IPG staff analysis of sector and inputs to the SCD and experience of IFC in supporting PPP transactions and of WB in upstream PPP program advisory.
4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President’s Office and the Department of Energy (DoE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.	The Philippines Offshore Wind Roadmap (published in April 2022) WBG. 2022. Philippines Country Climate and Development Report (CCDR). IFC, 2021. “Ctrl-Alt-Delete: A Green Reboot for Emerging Markets”. IFC Climate Business Department. Philippines Competitiveness PASA: investment streamlining ASA.
5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners’ Resolution [X] adopting the Technical Guidelines for Green Jobs Certification.	[to be added]
6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum	Ongoing technical assistance for FSF, including the development of a technical consultation paper accompanying the release of the taxonomy for public comments. WB, 2020, “Developing a National Green Taxonomy: A World Bank



Circular [X].	Guide”
Pillar 2. Protect the environment and improve climate resilience	
7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has instructed Obligated Enterprises to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].	Philippines: Plastic Diagnostics. Field and Remote Sensing, River Monitoring, and Microplastics Assessments. <i>An Assessment of Municipal Solid Waste Plans, Collection, Recycling and Disposal of Metro Manila</i> . The study assessed the 10-year solid waste management plans, and the plastic waste collection, recycling, and disposal status of the 17 Local Government Units (LGUs) in the Metro Manila area. <i>Reducing Plastic Waste in the Philippines: An Assessment of Policies and Regulations to Guide Country Dialogue and Facilitate Action</i> . The study analyzed existing and proposed national policies, legislation, and plans on plastic production, collection, and recycling in the Philippines. <i>Market Study on Plastics Circularity Opportunities and Barriers</i> . This study addressed the critical need for a private sector focused market assessment of plastics recycling in the Philippines. Combating the Plastic Waste Crisis in the Philippines- Implementing Extended Producer Responsibility with Lessons Learned from Korea
8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of EVs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].	WBG. 2022. Philippines Country Climate and Development Report (CCDR). The World Bank (2022). An ESMAP-supported technical assistance study, entitled “Electricity Mobility Development for Public Transport in the Philippines.”
9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	MAPS, Philippines CCDR, 2020/2021 Data collection for SDG Indicator 12.7.1 of the UNEP, Philippines Country Report: Current Status of Green Public Procurement (GPP) Implementation of the Switch Asia Regional Policy Advocacy. WBG. 2022. Philippines Country Climate and Development Report (CCDR). The report shows the need for upgrading the Philippines GPP Roadmap: strong linkages between different Government institutions and agencies involved in implementing the GPP Roadmap; proper monitoring, assessment, and reporting mechanisms or tools on the impact of the GPP initiatives; and to expand the scope of the adopted market-based approach to include the procurement of civil works and infrastructure projects in the GPP Roadmap.
10. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.	The World Bank. 2023. “Reforming agricultural insurance in the Philippines. Technical Report and Recommendations”



ANNEX 7: PARIS ALIGNMENT ASSESSMENT

Program Development Objective(s): The proposed series of two operations supports the Government of the Philippines' (GOP) reforms to: 1) accelerate the economic recovery and boost long-term growth; and 2) protect the environment and improve climate resilience.	
Step 1: Taking into account our climate analysis (e.g., Country Climate and Development Reports or CCDRs), is the operation consistent with the country climate commitments, including for instance, the NDC, NAP, LTS, and other relevant strategies?	Answer: Yes. The operation is consistent with the Philippines' commitments to the 2021 Nationally Determined Contributions by accelerating the transition of its sectors into a green economy and delivering climate and disaster-resilient development. Specifically, The Philippines commits to (i) a projected GHG emissions reduction and avoidance by 75%, representing the country's ambition for GHG mitigation for 2020 – 2030, for agriculture, wastes, industry, transport, and energy sectors; and (ii) undertaking adaptation measures across its sectors, including agriculture, coastal and marine ecosystems, to preempt, reduce and address residual loss and damage. Informed by the 2022 Philippines CCDR, the operation is also consistent with the 2011 – 2028 National Climate Change Action Plan, the National Adaptation Plan (NAP), as well as the priorities to promote low-carbon, climate and ecosystem-resilient growth outlined in the Philippine Development Plan (PDP) 2023–2028.
Mitigation goals: assessing and reducing risks	
Pillar 1: Accelerate the economic recovery and boost long-term growth	
1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: Yes. Explanation: The reform could spur greater investment in infrastructure services and cause an increase in GHG emissions.
Step M2.2: Is the prior action likely to introduce or reinforce significant and persistent barriers to transition to the country's low-GHG emissions development pathways?	Answer: No. Explanation: The domestic shipping industry has been characterized by old and inefficient vessels due to lack of additional investments. With the lifting of foreign equity restrictions, sources of financing and technologies for vessel upgrades will be expanded and the threat of new entrants could create a dynamic towards more efficient vessels. MARINA has also issued several advisories and circulars (2020-06, 2021-05, 2022-33, 2023-20) that seek to nudge emissions reductions among shipping companies. Lifting of foreign equity restrictions would likely facilitate compliance with the above-mentioned advisories and circulars. The Philippines has also put in place the Environmental Impact Statement System (PEISS) which requires all investment projects to identify a wide range of measures to avoid, minimize, mitigate, and compensate adverse impacts caused by a project. It also requires including mitigation measures, monitoring plans and corresponding institutional management, and financial arrangements for implementation. All projects that can potentially cause any form of significant negative impact to the environment are required to secure an Environmental Compliance Certificate (ECC), which are subject to monitoring, validation, and evaluation/audit for performance assessment.
Conclusion for PA1: ALIGNED with the goals of the Paris Agreement.	
2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]	



Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: Yes The new PPP Code of the Philippines seeks to improve the regulation and management of PPPs in the country, including on issues related to climate and the environment. The reform will spur greater private investment in public infrastructure. Out of the 74 projects in the national PPP pipeline, 30 (41%) are projects considered universally climate aligned. The majority of these are electrified rail projects, water supply and green energy activities. Another 25 projects (34%) are 'low impact' or can be designed to be low impact. These projects include rail projects where it is not clear if they are electrified, development of roads that are mainly O&M (not expanding footprint), establishment, refurbishment or change in use of buildings, but it is not clear if such buildings where they can be designed to have low carbon footprint features, and irrigation where the projects can be designed to introduce water use efficiency and energy efficiency. However, the remaining 13 projects (18%) in the transport sector, including airports and highways development projects, will have a high impact.
Step M2.2: Is the prior action likely to introduce or reinforce significant and persistent barriers to transition to the country's low-GHG emissions development pathways?	Answer: No Explanation: The majority of national highway development PPP projects relate to highways with existing connectivity and are expected to reduce congestion and shorten travel demand times, thereby indirectly reducing GHG emissions through lowering the consumption of fossil fuels. On airports, there are few feasible means of long-distance connectivity given the island context of the country. Most of the airport PPPs are related to the rehabilitation of existing airports and increasing safety. The Philippines has put in place the PEISS which requires investment projects to identify a wide range of measures to avoid, minimize, mitigate, and compensate for adverse impacts caused by a project.
Conclusion for PA2: ALIGNED with the goals of the Paris Agreement.	
3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions' transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by [PPP Board Resolution X]	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No The reform increases access by local implementing agencies to PPP project preparation resources that would spur greater private investment in public infrastructure. Many public infrastructure projects under the mandate of local governments and local entities are universally aligned, for example, water supply, energy efficiency and renewable energy integration in small power utilities groups (SPUGs). Other projects under local responsibility such as public building/real estate/housing development, wastewater treatment and solid waste management projects can be developed in such a way that they reduce GHG emissions through technology (e.g. introducing methane capture, incineration in lieu of landfilling, use of alternative energy and energy saving devices, etc.) and by situating the project within an integrated approach – e.g. integrated solid waste management that promotes reduction, reuse and recycling. Other projects, such as public transport development projects (e.g. bus rapid transit) reduce GHG emissions through modal shifts from private vehicle use to public transport, together with the government's overall policy in its NDCs to modernize public utility fleets and encourage high-density development. The PDMF guidelines require all PPP project preparation evaluate climate resilience of the project design.
Step M2.2: Is the prior action likely to introduce or reinforce significant and persistent barriers to transition to the	Answer: No Explanation: The majority of national highway development PPP projects relate to highways with existing connectivity and are expected to reduce congestion and shorten travel demand times,



country's low-GHG emissions development pathways?	thereby indirectly reducing GHG emissions through lowering the consumption of fossil fuels. On airports, there are few feasible means of long-distance connectivity given the island context of the country. Most of the airport PPPs are related to the rehabilitation of existing airports and increasing safety. The Philippines has put in place the PEISS which requires investment projects to identify a wide range of measures to avoid, minimize, mitigate, and compensate for adverse impacts caused by a project.
Conclusion for PA3: ALIGNED with the goals of the Paris Agreement.	
4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President's Office and the Department of Energy (DoE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: Establishing streamlined and harmonized permitting processes for offshore wind energy projects and related activities could facilitate more investments in wind energy. Energy generation using renewable energy from wind has negligible lifecycle GHG emissions and therefore electricity generated from these sources is considered aligned on mitigation.
Conclusion for PA3: ALIGNED with the goals of the Paris Agreement.	
5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners' Resolution [X] adopting the Technical Guidelines for Green Jobs Certification.	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: The assessment and certification system for green jobs under the Green Jobs Act of 2016 seeks to promote green jobs creation, such as in new and emerging low-carbon industries through incentives. The reform is not likely to cause a significant increase in GHG emissions and is considered aligned on mitigation.
Conclusion for PA5: ALIGNED with the goals of the Paris Agreement.	
6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum Circular [X].	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: The issuance of the Green Finance Taxonomy Framework is a critical step towards mobilizing green financing to support the Philippines' transition toward a low carbon economy and is considered aligned on mitigation.
Conclusion for PA6: ALIGNED with the goals of the Paris Agreement.	
Pillar 2: Protect the environment and improve climate resilience	
7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has instructed Obligated Enterprises to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: The Borrower has established measures to improve solid waste management by establishing the legal framework for compliance monitoring and evaluation of EPR programs which leads to the reuse, recycle and recovery of plastic waste. It is considered aligned on mitigation as per the Environment, Natural Resources and Blue Economy Sector Toolkit on applying the World Bank Paris Alignment Methods for DPF.
Conclusion for PA7: ALIGNED with the goals of the Paris Agreement.	



8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of EVs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: Greater use of EVs by government agencies would contribute to the Philippine government's broader efforts to reduce GHG emissions and bring significant local benefits, particularly lower air pollution for urban areas. It is considered aligned on mitigation as per the Transport Sector Toolkit on Applying the World Bank Paris Alignment Methods for DPF.
Conclusion for PA8: ALIGNED with the goals of the Paris Agreement.	
9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: The implementation of green public procurement supports the Philippines' sustainable development efforts such as energy, water and material efficiency, waste reduction, pollution and emission prevention including climate change mitigation, greening the supply chains, among others, and hence is considered aligned on mitigation.
Conclusion for PA9: ALIGNED with the goals of the Paris Agreement.	
10. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.	
Step M2.1: Is the prior action likely to cause a significant increase in GHG emissions?	Answer: No. Explanation: Evidence shows³⁶ that insurance can increase investment in productive inputs and technologies meaning that output is higher per hectare. As such, this leads to more efficient land use and so reduced emissions per unit of production. Given a need to meet a given level food security needs, more intensive agricultural activity can more carbon efficient. Further where agricultural insurance is introduced as part of an embedded packaged program with inputs and technical assistance and education for farmers in soil and water conservation measures, insurance can introduce discipline by putting a price on risk and to motivate farmers to move into crops that are more suited to the local environment. Such integrated measures actively seek to reduce adverse environmental effects and to introduce sustainable farming practices. Agricultural insurance can encourage farmers to adopt more sustainable practices that reduce greenhouse gas emissions and increase carbon sequestration. For example, insurance products can offer premium discounts to farmers who implement environmentally friendly farming techniques, such as no-till agriculture, cover cropping, or agroforestry. These practices can help sequester carbon, reduce emissions, and enhance soil health.
Conclusion for PA10: ALIGNED with the goals of the Paris Agreement.	
Mitigation goals: PAs 3, 4, 5, 6, 7, 8, 9 are 10 not likely to cause a significant increase in GHG emissions. While PAs 1 and 2 could spur greater investment in infrastructure and cause an increase in GHG emissions, they are not likely to introduce or reinforce significant and persistent barriers to transition to the Philippines' low-GHG emissions development pathways.	
Adaptation and resilience goals: assessing and managing the risks	
Pillar 1: Accelerate the economic recovery and boost long-term growth	

³⁶ Once such study demonstrates insurance provision increases insured crop production by 16% (Cai, 2016 - China).



1. To increase investment in infrastructure services, the Borrower, through: (a) NEDA, has adopted the general regulatory framework to open Public Service Sectors to 100 percent foreign ownership and establish procedures for public service sector review; and (b) MARINA, has harmonized sector regulations by repealing all foreign equity restrictions in domestic shipping, as evidenced by the General IRRs of R.A. 11659 and MARINA Circular [X], respectively.	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: Yes. Explanation: Risks from climate hazards could have an adverse effect on investment in infrastructure services.
Step A3: Does the design of the prior action reduce the risk from climate hazards to an acceptable level, considering climate adaptation good practices applicable to the country context?	Answer: Yes. Explanation: Increased climate hazards raise the need for newer and more climate-resilient vessels for domestic shipping. Opening the sector to greater foreign equity expands the sources of financing as well as technologies for vessels and systems upgrades. Greater competition will also encourage incumbents and new entrants to upgrade services to capture greater market share. The direction of the reform is thus towards facilitating resilience-enhancing investments.
Conclusion for PA1: ALIGNED with the goals of the Paris Agreement.	
2. To attract private investment in public infrastructure, the Borrower created a unified legal framework for joint ventures and strengthened the management of unsolicited proposals and fiscal risk as evidenced by the PPP Code of the Philippines [X]	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: Yes. Explanation: Risks from climate hazards could damage infrastructure, including those built through PPPs and hamper economic activities.
Step A3: Does the design of the prior action reduce the risk from climate hazards to an acceptable level, considering climate adaptation good practices applicable to the country context?	Answer: Yes. Explanation: Climate resilient design is a requirement for all PPP projects. The PDMF Guidelines require consideration of climate resilient options in the design of PPPs. Private investors and financiers will consider climate resilient and sustainability of projects to ensure return on investment. Bringing in the private sector will also improve capacity and know-how to respond to climate risks and allows the public sector to share the risks of climate hazards.
Conclusion for PA2: ALIGNED with the goals of the Paris Agreement.	
3. To incentivize transparent and better prepared PPPs at the local level, the Borrower, through the Philippines PPP Governing Board, has (i) improved access to project preparation resources for local governments; and (ii) provided a mechanism to cooperate with the specialized agencies of the United Nations, international organizations, or international financial institutions' transactions advisory, as evidenced by the revised Project Development and Monitoring Facility (PDMF) guidelines as evidenced by [PPP Board Resolution X]	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: Yes. Explanation: Risks from climate hazards could damage infrastructure, including those built through PPPs and hamper economic activities.
Step A3: Does the design of the prior action reduce the risk from climate hazards to an acceptable level, considering climate adaptation good	Answer: Yes. Explanation: Climate resilient design is a requirement for all PPP projects. The PDMF Guidelines require consideration of climate resilient options in the design of PPPs. Private investors and financiers will consider climate resilient and sustainability of projects to ensure return on



practices applicable to the country context?	investment. Bringing in private sector will also improve capacity and know-how to respond to climate risks, and allows the public sector to share the risks of climate hazards.
Conclusion for PA3: ALIGNED with the goals of the Paris Agreement.	
4. To mobilize development of offshore wind (OSW) energy projects, the Borrower, through the President's Office and the Department of Energy (DoE), has established the OSW policy and administrative framework and mandated all relevant agencies to develop permitting processes, as evidenced by the Executive Order 21 and DoE Department Circular DC2023-06-0020.	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: No. Explanation: Promotion of renewable energy by setting rules to attract investment do not pose material adaptation risks and thus can be considered aligned on adaptation per the Energy and Extractives Sector Toolkit for Applying the World Bank Paris Alignment Methods for DPf.
Conclusion for PA4: ALIGNED with the goals of the Paris Agreement.	
5. To support green jobs creation, the Borrower, through the Climate Change Commission (CCC), has launched an assessment and certification system for green jobs under the Philippine Green Jobs Act of 2016, as evidenced by (1) a Joint Memorandum Circular (JMC) [X] by the CCC, Department of Labor and Employment, Department of Natural Resources and the Environment, and the Department of Finance; and (2) CCC Commissioners' Resolution [X] adopting the Technical Guidelines for Green Jobs Certification.	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: No. Explanation: Risks from climate hazards could incentivize creation of more green jobs towards improving resilience and adaptive capacity of communities to disasters and impacts of climate changes.
Conclusion for PA5: ALIGNED with the goals of the Paris Agreement.	
6. To mobilize sustainable finance, the Borrower, through the Financial Sector Forum, has issued the Sustainable Finance Taxonomy Guidelines based on international principles, as evidenced through BSP Circular [X] and SEC Memorandum Circular [X].	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: No. Explanation: Risks from climate hazards could intensify efforts to scale up financing towards activities that positively contribute to a reduction of risks from climate hazards.
Conclusion for PA6: ALIGNED with the goals of the Paris Agreement.	
Pillar 2: Protect the environment and improve climate resilience	
7. To enhance plastic waste management through reduction, recovery, and recycling of plastic waste, the Borrower, through the Department of Environment and Natural Resources, has instructed Obligated Enterprises to submit to compliance monitoring and evaluation of EPR Programs, as evidenced by Compliance Manual issued by DENR Department Administrative Order (DAO) [X].	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: No. Explanation: The Philippines is highly exposed to flood risk. Plastic waste can easily clog urban canals and drainage, exacerbating floods during extreme events. The abundance of plastic debris contributes to a faster and denser blockage and will therefore cause a more sudden backwater increase. The EPR legal framework for compliance monitoring and evaluation of EPR programs supported under the DPO is expected to lead to reduced plastic waste, hence reduced flood risk. It is considered aligned on mitigation as per the Environment, Natural Resources and Blue Economy Sector Toolkit on applying the World Bank Paris Alignment Methods for DPf.
Conclusion for PA7: ALIGNED with the goals of the Paris Agreement.	



8. To provide an enabling environment for the development and use of electric vehicles and reduce dependence on fossil fuels, the Borrower, through the Department of Energy, has required and enabled government agencies to buy a specified percentage of EVs in their new vehicle purchases, as evidenced by an Executive or Administrative Order [X].	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: No. Explanation: The inherent climate physical risk to the outcome of this prior action is low as it does not lead to any downstream physical infrastructure development such as roads, bridges, charging network, etc.
Conclusion for PA8: ALIGNED with the goals of the Paris Agreement.	
9. To incentivize public procurement of green goods, the Borrower, through the GPPB, has issued Resolution [X] adopting at least five (5) product categories, that may cover building materials, ICT, food and catering services, training facilities/hotels/venues, and motor vehicles.	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: No. Explanation: Risks from climate hazards would not likely have a material adverse impact on the ongoing efforts to encourage more production and consumption of green goods and services through public procurement.
Conclusion for PA9: ALIGNED with the goals of the Paris Agreement.	
10. To mitigate climate-related disaster risks to the government budget and to insured farmers, the Borrower, through the DOF, has strengthened targeting of premium subsidies, introduced new insurance products appropriate for vulnerable smallholder farmers, and strengthened PCIC coverage and operations, as evidenced by submission to Congress of the bill amending the PCIC Charter.	
Step A2: Are risks from climate hazards likely to have an adverse effect on the prior action's contribution to the Development Objective(s)?	Answer: Yes. Explanation: Agriculture is highly sensitive to climate change, with extreme weather events like droughts, floods, and heatwaves becoming more frequent and severe.
Step A3: Does the design of the prior action reduce the risk from climate hazards to an acceptable level, considering climate adaptation good practices applicable to the country context?	Answer: Yes. Agricultural insurance can help farmers manage and mitigate these risks by providing compensation for crop and livestock losses due to adverse weather conditions, helping to stabilize their income. By providing financial support to farmers after climate-related losses, it can help them recover more quickly, reinvest in their operations, and adopt more climate-resilient farming practices and technologies.³⁷ The Paris Agreement acknowledges the importance of addressing the needs of vulnerable communities, including smallholder farmers. Agricultural insurance can provide a safety net for these farmers, helping to protect their livelihoods and food security in the face of climate-related challenges.
Conclusion for PA10: ALIGNED with the goals of the Paris Agreement.	
Adaptation and resilience goals: Risks from climate hazards are not likely to have an adverse effect on the contributions PA4, PA5, PA6, PA7, PA8, PA9 to the Development Objectives. While the contributions of PA1, PA2, PA3 and PA10 to the Development Objectives could be potentially impacted by risks from climate hazards, the designs of the prior actions reduce such risks to an acceptable level, considering climate adaptation good practices applicable to the Philippines' country context.	
OVERALL CONCLUSION OF PARIS ALIGNMENT ASSESSMENT: The operation is consistent with the Philippines' commitments to the 2021 Nationally Determined Contributions by accelerating the transition of its sectors into a green economy and delivering climate as well as disaster-resilient development.	

³⁷ : Crop insurance schemes have been shown to increase the adoption of more climate resilient crops (Mobarak et al., 2012 - India)